# LG Electronics (LGEINDIA)

*Conference call transcripts, oldest-first. 3 call(s). Generated 2026-08-02.*

# Call: Nov 2025

LG Electronics India Limited
(16th to 20th Floor) C- 001, Tower D, KK Project, Sector-16 B.
Noida - 201301 Dist. Gautam Buddha Nagar, UP (India )
T: 91-120-651-6700 Website: www.lg.com/in
Email id: cgc.india@lge.com
Regd. Office: A-24/6, Mohan Cooperative Industrial Estate, Mathura Road, New Delhi – 110044
CIN: U32107DL1997PLC220109

LGEIL/CGC/2025/11
Date: November 21, 2025
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, C-1, Block G Phiroze Jeejeebhoy Towers
Bandra Kurla Complex, Dalal Street,
Bandra (E), Mumbai – 400 051 Mumbai – 400 001 NSE Symbol: LGEINDIA Scrip Code: 544576

Sub: Transcript of Earnings Call
Dear Madam/Sir,

In continuation of our letters dated November 7, 2025 & November 14, 2025 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Transcript of Earnings Call held on November 14, 2025 on the un-audited Financial Results for the quarter and half year ended September 30, 2025 has been made available on the Company's website at below URL:

https://www.lg.com/in/investor relations/quarterly-reports/

We are enclosing the Transcript of the Earnings Conference Call.

You are requested to take the same on record.

Thanking You,

Yours truly, For LG Electronics India Limited

Anuj Goyal Company Secretary and Compliance Officer Membership No. A23761



"LG Electronics India Limited Q2 FY '26 Earnings Conference Call"

November 14, 2025

MANAGEMENT : MR. DONG MYUNG SEO – WHOLE TIME DIRECTOR &
CHIEF FINANCIAL OFFICER (CFO)
MR. SANJAY CHITKARA – CHIEF SALES OFFICER
MR. ATUL KHANNA – CHIEF ACCOUNTING OFFICER
MR. GAGANJEET SINGH – CHIEF MANUFACTURING
OFFICER
MR. GURPINDERJEET SINGH – FINANCIAL HEAD
MR. SOONJOO SEO – INVESTOR RELATIONS OFFICER
MR. ADITYA BHASIN – HEAD INVESTOR RELATIONS
MODERATOR : MR. SOUGATA BASU - CITI GROUP



Moderator : Ladies and gentlemen , good day, and welcome to the LG Electronics India Q2 FY '26 earnings call.
As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes.
Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded .
I now hand the conference over to Mr. Basu. Thank you, and over to you, sir.
Sougata Basu: Thanks, Michelle. And on behalf of Citibank, I would like to welcome all the participants to the Q2 FY '26 conference call of LG Electronics India Limited.
I have with us Mr. Soonjoo Seo – Investor Relations Officer of LGEIL.
Without further taking time, I would like to hand over the call to Mr. Soonjoo Seo. Over to you, sir.
Soonjoo Seo: Warm good evening to everyone. I would like to welcome you to the Q2 FY '26 Earnings Call of LG Electronics India Limited.
Hope you have gone through our presentation uploaded on our website and stock exchange. I also want to remind you of the safe harbor. We may be making some forward -looking statements that have to be understood in conjunction with the uncertainties and the risks that the company faces.
We have our senior management here with us today, being represented by Mr. Dong myung Seo – Chief Financial Officer , Mr. Sanjay Chitkara – Chief Sales Officer , Mr. Atul Khanna – Chief Accounting Officer , Mr. Gaganjeet Singh – Chief Manufacturing Officer , Mr. Gurpinderjeet Singh – Financial Head , Mr. Aditya Bhasin – Head -Investor Relations .
Without any further delay, I will hand over the floor to Mr. Dongmyung Seo for his initial remarks. Thank you.
Dong myung Seo : Namaste. Welcome all of you to the first earnings call of LGEIL. It is an honor to speak with you today as we celebrate a major milestone in LG Electronics India's journey, our successful initial public offering last month. We are



humbled by the great response from the market, receiving bids worth INR 4.4 lakh crore, and achieving 54 x subscription, the highest in India's IPO market since 2008.
This was not just a financial event. It was a moment of pride for all of us. And the strong participation from local shareholders reflects the deep trust placed in us, which reinforces our identity as an India -rooted company and a true national corporation.
In our 'Future Vision ' event, we shared LG India's long -term strategic direction: "Make for India , "Make in India ", Make India Global ." This vision is driven by a feasible action plan to deliver results across product innovation, manufacturing scale up, and global competitiveness.
As a part of "Make for India, " we are combining global technology with deep local insights to create product tailored for Indian lifestyles. Our newly launched LG Essentials series, under the slogan "Har Ghar Appliances, Har Ghar Happiness," designed for aspirational and first -time buyers, is already gaining strong early transactions in underpenetrated regional markets. It reflects our commitment to growing together with Indian consumers by

delivering quality products powered by LG technology, combining affordability and value for money for families across the country.
On the "Make in India" front, we are expanding our manufacturing footprint. We already did groundbreaking on our third factory in Sri City , Andhra Pradesh . This new facility will significantly boost our production capacity, improve logistics, and strengthen our supply chain in South India, laying the foundation for long -term growth and operational excellence. Construction is progressing smoothly in line with the planned schedule. Beginning with the constructi

on of a production building for RAC and compress ors, we will expand the construction to a production building for refrigerator and warehouse next year.
Through "Make in India Global," we are supporting LG's Global South strategy by leveraging India's productivity in hardware and growing software capabilities. We are closely monitoring global trade developments, and our


premium product portfolio is set to drive export expansion as the tariff situation improves.
Together, these represent our commitment to innovation, localization, and global ambition. Further, we are actively pursuing new business initiatives to expand domestic revenue. These efforts are aimed at deepening LG footprint in India.
Our core fundamentals remain strong. Although several external environmental factors have affected our short -term performance, we are continuously strengthening our fundamental business competitiveness by expanding market share across all major product categories.
In addition, for positive growth, we are witnessing our business portfolio advance as a proportion of high -profit business increase, such as non - hardware -based recurring business like AMC and B2B operations that hold high growth potential. In particular, as global IT companies expand their data centers worldwide, India's strong IT capabilities make it a key destination where LGEIL is tapping into the data center cooling market.
As we move forward, we are not just expanding product lines ; we are expanding possibilities for millions of Indian households. From deepening regional reach to scaling global exports, every step we take is rooted in India's aspirations and aligned with global opportunity. Thank you for your continuous trust.
Now, I would request Mr. Atul Khanna , our Chief Accounting Officer, to take you through the financials. Thank you.
Atul Khanna: Thank you, Mr. S eo. And g ood evening, everyone. It is a pleasure to welcome you to our first earnings call post -IPO, and I would like to thank each one of you for taking the time to join us today.
Let me now share an overview of LG India's financial performance for the second quarter of Fiscal Year 2026. The first half of the year witnessed muted momentum across the consumer durable sector, shaped by a combination of external headwinds. Demand was notably impacted by an unexpected cooler


summer, early monsoon, currency volatility, U.S. tariffs, and geopolitical tensions, particularly the Indo -Pak situation, leading to a cautious consumer sentiment. These external factors impacted overall demand, especially in compressor -based categories su ch as air conditioners and refrigerators.
Gentlemen, just to share with you, based on a recent report from CRISIL published in Economic Times on November 2 nd, it says the Indian home appliances industry is expected to see slower growth this fiscal year.
However, a key development during the quarter was the GST rate cut announcement on August 15. This timely policy intervention helped revive consumer confidence and supported the demand outlook. The implementation of the revised rates on September 22 gave a strong and positive push to sales

in key categories, helping the industry regain momentum heading into the festive and wedding season.

Despite the temporary headwinds, in Quarter 2 of Fiscal Year 26, LG India Limited delivered a resilient performance and reported a revenue from operations of INR 61.74 billion, marking a year -on-year growth of 1.0% over INR 61.14 billion in the same quarter last year. Revenue remained stable year -on-year, reflecting underlying brand strength and consumer confidence, even as some purchases were temporarily deferred ahead of the GST rate cut announcement on August 15 and its effective implementation on September 22.

D

uring the quarter, we recorded a quarterly EBITDA of INR 5.48 billion, with an EBITDA margin of 8.9% compared to INR 7.57 billion and a margin of 12.4% in Quarter 2 of previous year. The margin impact reflects the combined effect of rising commodity prices and incremental investments in festive go -to-market initiatives to support our distributors and retailers during these challenging market conditions.



Net profit for the quarter stood at INR 3.89 billion, with a margin of 6.2%. Let me now touch on working capital. As of 30 th September 2025, our working capital cycle stood at INR 2.2 billion, as compared to INR 2.0 billion as of 31 st March 2025 last year. The increase was primarily due to incremental inventory in compressor -led products and temporary credit support to extend additional payment days to our trade partners, offering them greater flexibility and support during these challenging market conditio ns.

Our cash and bank balance as of 30 th September 2025 remains healthy at INR 42.8 billion.

In line with our long -term strategy, we continue to reinvest into our business. A key example is our upcoming manufacturing facility at Sri City, Andhra Pradesh, which is poised to become a strategic asset for both domestic operations and export market. Th is facility will enhance production capacity, improve logistics efficiency, and support our localization roadmap. We have a planned investment of approximately INR 5,000 crore, which will be funded through our internal accruals deployed in a phased manner over the next four to five years.

Our business fundamentals remain strong, and our long -term strategy is firmly on track. With India's fast -growing GDP and industry reports pointing to an imminent inflection point in consumer durable demand, we are well -positioned to capitalize on this momentum.

With that, I would like to hand over to Mr. Aditya Bhasin, Head IR, who will walk you through the segmental performance and share insights into our outlook for the coming quarters. Over to you, Mr. Bhasin. Thank you.

Aditya Bhasin: Thank you, Atulji. Namaste and good evening, everyone. Let me now take you through our segmental business performance for the second quarter of Fiscal Year 2026, starting with our home appliance and air solution segment.

The segment continued to reinforce its leadership in Q2 FY 26, gaining market share across key product categories . Despite the temporary impact of GST timing, our strong brand equity and resilient channel performance helped deliver value growth in offline market share in YTD September 2025.



Let me now share the glimpse of product -wise market share.

In washing machine categor y, our market share stood at 33.4%, maintaining our absolute leadership in the category. In refrigerator, we stood at 29.9%, an increase of 1% compared to YTD September '24, reflecting continued strength in our core appliance portfolio.

In RAC category, our share was 17.4%, an increase of 0.5% compared to YTD

September 2024. In the premium category, our side -by-side refrigerator market share increased to 43.2%, an increase of 4.5%, highlighting our leadership in the premium cooling segment.
In terms of financials, the segment reported revenue from operations of INR 39.48 billion compared to INR 39.53 billion in Q2 FY '25, representing a stable performance in a muted and challenging demand environment.
During the quarter, the segment reported an EBIT margin of 8.2%. The margins were tested by elevated commodity prices and higher recycling costs linked to compliance. Further, incremental festive go -to-market investments also added pressure as we prioritiz ed consumer engagement and retail push.
Now, looking ahead to the next quarters, the industry anticipates sustained demand driven by

the recent GST rate cut, festive, and wedding season
tailwinds, unlocking momentum across categories with premium appliances leading the recovery. With our two -factor strategy, we are widening the price spectrum through LG Essential and a new premium range targeting niche demand and unlocking growth in under -penetrated markets.
We are further strengthening our premium portfolio with new front door refrigerators and AI -enabled front -load washing machines. Having said that, we remain cautiously optimistic across all categories, with steady demand expected in both premium and value segments.
Moving on to our home entertainment segment, while the TV industry continues to grow steadily, the premium segment is expanding faster than the entry -level models, where LG is outperforming the market.


During the quarter, the segment reported an EBIT margin of 12.6% and recorded revenue from operations of INR 22.6 billion, higher by 3% Y -o-Y from its INR 21.61 billion in Q2 FY '25. The growth was driven by demand in the TV segment on the back of the festive season.
However, information display business has been impacted due to U.S. tariffs and current geopolitical issues leading to low -infra spending. During this period, we improved our TV market share to 27.5% in YTD September '25, a gain of 1.4%. This growth was driven by continued focus on cost optimization and a higher share of premium products in our portfolio.
Notably, our OLED market share increased to 4.2% to 62.6% in YTD September '25, reinforcing our leadership in the premium TV segment. Though the TV industry faced external headwinds in the first half of FY '26, the outlook for Q3 and the second half remains positive. The Indian market is growing steadily and was supported by the festive demand and GST rate cuts. Consumer sentiment has improved, with larger screen sizes emerging as a key upgrade driver.
LG continues to lead in this space, with its premium large -screen portfolio gaining strong traction across offline channels. We are well -positioned to capitalize on this moment in FY '26 and beyond as we deepen market leadership through innovation and agility. In B2B space, we are focused on further strengthening information display business by leveraging India's growth infrastructure, which offers significant potential.
Now, to summarize, the first half of FY '26 was marked by temporary external challenges and muted demand across the consumer durable sector. Despite this, LG India further improved market share and maintained its leadership in all product categories during H1, reflecting strong fundamentals, bran d equity, and focused long -term strategy. Being an industry leader, our endeavor is to perform better than the industry.
With that, we conclude our remarks. We now request the operator to open the lines for the Q&A session. We look forward to addressing your questions.


Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin with the question -and-answer session. The first question is from the line of Sanjeev

Kumar Singh from Motilal Oswal Financial Services. Please go ahead.
Sanjeev Kumar Singh : We discussed a few factors like the impact of Forex , GTM investments, recycling, etc., which impacted margins in this quarter and the first half of FY '26. Would it be possible to give more color on the impact of each of these factors, and do we expect some of these costs to reverse in the second half? Also, can you share that if there are product verticals like room air conditioners or cooling products, which are seeing higher pricing, higher pace of profitability, as we have seen in the number of other peers?
Aditya Bhasin: The first part of the question will be addressed by our C AO, Mr. Atul Khanna . The second part wil

l be addressed by Mr. Sanjay Chitkara, who is our CSO.
Atul Khanna: So, gentlemen, d uring this quarter, if you see that margins came under the pressure because of some external factors, which was where we have absorbed the cost of go -to-market initiatives and consumer promotions to support our partners, to build a momentum in the market f or our trade partners as well as the consumers, with a neutral revenue growth also, which limits us to absorb our fixed cost as well. Whereas the global headwinds of FX devaluation, rising commodity prices, which has impacted p articularly the margins, and recycling costs also given a tough time this time, as our target for Fiscal Year ' 26 becomes 70% as per the government regulations, whereas last year, Fiscal Year '25, it was 60%.
So, looking ahead for the future, we are expecting these margins to improve through greater localization and local buying, sourcing from India, and working on our operational efficiencies, whereas stronger growth in the premium product segment, expansion of our annual maintenance, recurring income profitability, where it is higher, as well as the B2B business, which are where the margins are a little better. And we are coming up with the launch of some new product categories as well, which will add on to our volumes as well as give us economy of scale, and which give leverage to optimize overheads, fixed costs as well.


Sanjay Chitkara: So, I will handle the second part of the question about the refrigerator and air conditioners ’ margins, which you mentioned. See, we have never pursued short -term margin tactics. Our strategy has been always for the long-term, because in business, market share drives your revenue, and revenue drives your profitability. And w ith our leadership position, as Aditya Bhasin did in this presentation, mentioned about our market share improvement for refrigerator by 1% and air conditioner by 0.5%, we further expanded that advantage. Regarding margin normalization, we have also taken a little bit price increase of 1.5% to 2% for our refrigerator and washing machine case. We have also rationalized our promotional intensity, and our ongoing localization is already happening. See, our best and biggest strength for air conditioning and refrigerator business is our in -house prod uction of compressors, heat exchangers, PCBs, and other important sub -assemblies. We will continue such efforts and try to normalize our margin.
Sanjeev Kumar Singh : Continuing with this, we assumed some sort of margin improvement from the current level, which we have reported in 2Q, in 3Q. So, I am talking about the near term. We understand that long term, you are doing a lot of initiatives in terms of localization, plus there will be reversal of some of the expenses. But any outlook which you would be able to share in the near term, especially in the second, third quarter, or fourth quarter?
Aditya Bhasin: This answer will be addressed by our respected CFO, Mr. Dongmyung Seo .
Dongmyung Seo : Please understand that I will not be able to open specific figures in today's event. What LGEIL remains focused on is our long -term strategy. Revenue CAGR since 2022 stands at 13.1% with double -digit EBITDA. Although FY 2026 was challenging due to cool summer, regional tensions, foreign exchange, and tariff shifts, our impact remained minimal, unlike other competitors.
By focusing on premium segments in B2C, along with launching LG Essential that targets first -time buyers, we aim to penetrate the volume zone, eventually surpass industry standards and existing benchmarks.

With our competitiveness in HVAC and information display, we are creating growth momentum in the B2B market and focusing on additional revenue sources like AMC that can generate high marg

ins.
LGE India will be exploring new destinations to export premium range of products for broader markets from the third factory that will be built in Sri City.
Localization rose to 55.8% in Q2 FY '26, thanks to in -house side -by-side and compressor production. Under the Make in India initiative, we are committed to drive our localization further. We are confident that this momentum will fuel the next phase of sustainable, profitable growth.
Sanjeev Kumar Singh: My second question is on LG Essential series, which you just spoke about. So, what is the rollout plan here, market response so far, and the price positioning of these products, if you can share?
Aditya Bhasin: So, this question will be addressed by our CSO, Mr. Sanjay Chitkara.
Sanjay Chitkara: So, our Essential series is built on an insight which we have taken from 1,200 households in India, and we interviewed them to understand their daily realities and what are their expectations from our product. And d uring our survey, we found more than the affordability of the product, their needs are totally different. They want more energy -efficient products. There is a challenge for low water pressure for the washing machine, and for refrigerator, they do not want to defrost the refrigerator.
So, we introduced a few SKUs during last month, during Diwali month. So, currently, we have introduced 8 kg top loader and 225 liters of refrigerator, and balance two models we will launch during this year. We will soon be launching a 0.9 ton RAC and a microwave with air fryer kit also, since it is a placement and we are getting a good response to our dealer network.
Sanjeev Kumar Singh: Anything on price positioning, sir? That is the last question from my side.
Sanjay Chitkara: So, these prices, we have very aggressively priced these products, and we have given a very compelling reason to entry -level customers to upgrade their first



purchase so that we exceed their expectation from this product, and we should be their first choice while their next premium upgrade.
Regarding price, these prices are in the lower than INR 20,000 prices. The washing machine is priced roughly around INR 16,000, between INR 16,000 to INR 18,000, and refrigerator also in the range of INR 20,000. These products are available in the market, and we are getting a very good response from customers.
Moderator: The next question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.
Aniruddha Joshi: Two questions. What is LG Electronics India's current export status and future strategy ? And what was exports as % of net sales in this H1 FY '26 also?
Aditya Bhasin: This question will be addressed by our respected CFO, sir. The second part will be from Mr. Atul Khanna .
Dongmyung Seo : Exports to 54 neighboring countries, including Nepal, Bangladesh, the Middle East, and Southeast Asia, contribute to 5 % to 6% of LGEIL's revenue. With our strong manufacturing capabilities and operational excellence, LGEIL has emerged as a global production hub for LG.
Under the Global South initiative to expand business in the emerging market, LGEIL now stands at the center of LG HQ's export strategy. LGEIL plans to identify new export destinations from our third manufacturing facility to expand exports of premium produ cts to wider markets.
Internal preparations are underway, including revisions to the production line tailored to the expanding export markets. We have commenced the construction of RAC and compressor production buildings, and we plan to expand the refrigerator and warehouse pro duction facilities next year.
Additionally, the government's ongoing efforts to establish favorable tariff agreements with major countries, including the U.S., are expected to serve as a positive factor for future environmental improvement.

Atul Khanna: So, adding to your second question on first half of Fiscal Year ' 26, our exports contribution, it reached to almost 7%, whereas last year, full year, Fiscal Year '25, we were at almost 6%.
Aniruddha Joshi: Second question now. On the Cap ex side, for the new Sri City plant, can you please elaborate and share the timelines, what are the product lines over there, fiscal benefits that we would be getting at the plant, and what will be advantages in GTM, especially the plant is in South India?
Aditya Bhasin: So, this question will be addressed by our C AO, Mr. Atul Khanna .
Atul Khanna: Thank you for this meaningful question, gentlemen. So, we are driving our third factory plant at Sri City with a total investment outlay of INR 5,000 crore to be deployed in a phased manner over the next few years, four to five years. The new plant is being built to support rising demand, considering low penetration, which will increase going forward , rapid urbanization, and rising income level as well.
And south India business contribution is almost 38 % to 40% in our total business and gives us leverage to optimize logistics cost, reduce supply chain lead time. As we build on our production capacity, it will help us to expand our export horizons under parent's Global South strategy and strengthen our supply chain.
The Sri City factory will start operations in a phased manner as we had got a government order for fiscal incentives to the tune of 100% capital subsidy to be realized in 20 years from the start of production in a phased manner. The plant will be built on almost 1 million square meter site under the 99 -year lease agreement with a roadmap to scale in line with our market demand.
The first product line of operations will be room air conditioners, which will be operational by October 2026, followed by aircon compressor line in Quarter 4 of Fiscal Year ' 27. Thereafter, washing machine and refrigerator line will begin in a phased manner. We will be funding this CapEx from internal accrual s in a span of four to five years, doubling our capacity as the plant gets fully operational by Fiscal Year ' 29.



Adding to your question, we continue to invest for our two existing plants as well for the automation and modification.
Moderator: We will take the next question from the line of Chirag Muchhala from Centrum Broking. Please go ahead.
Chirag Muchhala: Sir, the first question is on the medium to long -term outlook of three to five years. So, what is the rate of revenue growth and the margin expansion that we are planning or we believe we can deliver ? And what are the key levers for that?
Aditya Bhasin: So, this question will be addressed by our CSO, Mr. Sanjay Chitkara.
Sanjay Chitkara: So, if we see, we have been growing with 13.1% CAGR growth, and our EBITDA is on double digits. Being a sales leader, we will definitely try to catch our previous figures. The major levers for this growth are our new Essential series, for which we are expanding t he premium product coverage to our mass customers.
Also, we are scaling up our B2B business, which is HVAC and information display panels. Other than this, we are also creating a revenue stream around annual maintenance contract. So, i t is not only helping us to create a service revenue, but also helping us to retain our loyal customers.
So, with the help of all these initiatives, we will try to surpass our previous benchmark. Right now, due to regulatory issue, I cannot give you the forward -looking numbers, but this is the color for our future growth. Thank you very much for this question.
Chirag Muchhala: And t he second question is on our B2B business. How much does it contribute in our total sales now ? And what are the strategies to grow it further?
Sanjay Chitkara: Ou

r B2B business is contributing roughly 6% of our business, and it is majorly
driven by IT and information display panel and HVAC. Currently, we have
seen there is a pressure on this segment due to U.S. tariff changes that led to
the budgetary allocation and key segments like IT and display solution. But
our win rate is very strong . And we will continue to maintain a healthy pipeline.


This is just a timing shift, and there is no structural demand issue for B2B
business . And we are expecting a momentum to return to the micro conditions
will stabilize.
Our biggest strength is our B2C reach for our B2B business. Our biggest
strength is also of having India localized products . Up to 86 inch of information
display panels we produce within our factory.
About our HVAC also, we have inverter ACs. Very soon, the B EE Star rating
guideline will come for HVAC business also, and there we will get the
advantage of inverter transition. So, our B2B growth projections are very
promising. Our profits are better than B2C, and we will continue this growth
momentum.
Chirag Muchhala: Thank you for taking my question.
Moderator: The next question is from the line of Dhruv Jain from Ambit Capital. Please
go ahead.
Dhruv Jain: Sir, my first question is an extension to the earlier participant and adding some
of your earlier initial remarks as well. So, LG globally is a very large player in
data centers , right? So, just wanted to understand how this bodes well for the
Indian entity, given we have seen a lot of traction in India with respect to data
centers . So, just some thoughts and numbers that you want to share would be
very helpful. That is my first question.
Aditya Bhasin: I am Aditya. I will take up this question. So, c urrently, we do not have a
concrete plan. We are just planning these projects in the data center. We have
done a couple of data centers at a very small level, but if we talk about the total
comfort of this data center, we are still in the projects, and we are exploring
some new pipelines for that. And w e will not be able to comment more in detail
as of now, but we will definitely share as and when we get new projects, we
will share it with you.
Dhruv Jain: My second question is on localization. So, you mentioned that localization
currently is about 56%. So, just wanted to understand at over a three - to four -


year timeline, what is the target that you have in terms of localization, and what
is the potential margin improvement that we can see because of this initiative?
Aditya Bhasin: So, I will address this question to Mr. Sanjay Chitkara.
Sanjay Chitkara: Thank you very much for this question. So, our current localization rate is
around 55. 8%, and in the last three fiscal years, we improved it 2 % to 3% every
year. And our target is to continue this 2 % to 3% localization further in the
next coming three to four years, and we want to take it to around 70%.
Recently, we have done a lot of development for our localization. All glass
items, resins, and raw materials we are trying to localize.
Our biggest strength is our in -house compressor production. We started our
local RAC compressors in the Financial Year 2023, and this is the second year
when we used our internal compressors. Also, previously, we were importing
the premium products from Korea, like OLED TVs and side -by-side. Last year,
we started manufacturing premium TVs, like OLED TVs and side -by-side al so
in our Pune factory.
So, w e will continue our localization efforts, and this also helps us to mitigate
the global ups and downs and Forex impacts.
Dhruv Jain: Sir, just a clarification on that? So, any margin uptick that we can expect as the
localization initiative moves forward? What is the sort of margin improvement
that we can see?
Ad

itya Bhasin: This question will be addressed to Mr. Atul Khanna ji.
Atul Khanna: So, as we announce our localization, we need to do some investments, number

one. Number two, definitely there would be impact of every year, there would be an FX impact of around 3 % to 4%, which we would be adding to our margins with a smaller pie as well as sometimes larger pie, as we did an aircon compressor localization, which was our biggest contributor to the air conditioners business.

We have a plan, and there are other plans, like we are doing some other air conditioner remotes as well as increasing our panel modules localization for



our other currently, we are doing ultra HD. We are moving it from full HD TV panel modules also through local sourcing. A lot of sub -assemblies we are manufacturing . And there are impact of duties. There is logistics cost, which we will add on to our margins as well as the FX inflation. So, t hat would be adding.

Currently, we cannot call it exactly the number, how much percentage it will add, but it depends upon various product categories with respect to different sub-assemblies as well as local components.

Dhruv Jain: Sir, my third question is a number that if you could give out. So, you mentioned initially that there have been some channel support schemes that have been given. So, if you could just call out what is the quantum of that ? And in the third quarter, how much of a drop that has seen?

Aditya Bhasin: This question will also be addressed to Mr. Khanna .

Atul Khanna: So, gentlemen , the consumer promotion schemes, which we normally offer to the trade, are sometimes we need to see the market dynamics, and we cannot share with you exactly the number on that part, but we normally adjust those temporary supports, which we give to the trade partners as well to give the boost in the momentum in the market and win the trust of partners as well as keep the momentum high for consumers . But we normally adjust these promotion schemes depending upon business scenario an d other business impacts.

Moderator: We will take the next question from the line of Latika Chopra from JP Morgan. Please go ahead.

Latika Chopra: My first question is around revenue growth. There was definitely a lot of noise in the Q2 numbers. If you could share what was the GST -led impact. Also, would like to know what is your confidence in driving the business returning to this double -digit growth pace in the second half of the year?

You have talked about initiatives on Essential range launched. There is also going to be rating changes for air conditioners starting January. A nd also, if



you could accompany this with some color on on -ground demand and inventory levels across your key product segments.

Aditya Bhasin: Both these questions will be addressed by Mr. Sanjay Chitkara.

Sanjay Chitkara: So, thank you for asking this question. See, as my colleagues mentioned about the challenging market conditions, our industry faced a cool summer, geopolitical tension, tariff escalation. And t he biggest challenge which we faced for Q2 is the GST cut was announced on 15th of August, but implemented on 22nd of September, which led to the deferment of the purchases by our partners and customers, and that put a temporary pause to complete buying.

But let me tell you, we covered within 1.5 months the three -month sale, and we grew in Q2 . Against INR 61.14 billion of last year , we registered INR 61.47 billion . And we also produced an EBITDA of 8.9%, which is industry -leading.

Apart from this, we also improved. Instead of focusing on short -term challenges, we improved our market share. Our market share improvement for refrigerator case was 1%, and TV case 1.4%, and air conditioner, our market share improvement was 0.5%

.

Our brand strength is at its peak. During September month market share report, we created ever -time highest gap with number two brand. Our TV gap in

September was 6.7% as compared to number two player. On YT D basis, it was 4.3%.
For side -by-side, we created almost a 13% gap with number two player, and for refrigerator, almost a 6% gap.
We were number two player for air conditioners for overall air conditioning category, but we were number one player for inverter AC. But this year, we are number one player for overall as well as the inverter ACs. It shows, and this performance clearly demonstrates the underlying strength of our brand, our diversified portfolio, and resilience of our business model.


Latika Chopra: Mr. Chitkara, I was just trying to gauge whether some of these GST challenges are now behind us and the confidence that we go back to those double -digit CAGRs that you have registered in the past. So, that was the intent to just check and in case it is possible for you to call out any of these one -off impacts in terms of quantifying.
The second piece that broadly I was just trying to understand was when we look at your margin trends, you have delivered in the first half EBITDA margin s of 10.8%. Clearly, it is industry -leading and good in the context of challenging environment. But t his compares, again, a 13% margin that you have delivered in FY '25.
Just trying to understand, given all the kind of investments that we are going to see over the coming quarters, coming months in terms of new category interventions, localization, export, B2B, how confident are you to or what is the feasible margin outlook range in your view over the medium term for the business? And t hat is all from my side.
Aditya Bhasin: So, this question will also be addressed to Mr. Sanjay.
Sanjay Chitkara: So, Latika, that toughest phase of transition of GST is now behind us. GST has been fully implemented. Partners' inventories are getting normalized, and new star rating norms will be effective from next year. So, this additional cost of energy -efficient products has been already absorbed by GST benefit . So, it will not be passed to our customer. Our Essential series is also expanding the access to the value segments while premium products are also growing.
Talking about margin, margins are a function of revenue and input cost. So, recently , we have taken a price increase, as I mentioned, 1.5 % to 2% for washing machine and refrigerator case. We have also rationalized the promotional intensity which we introduced during the festival time, and our ongoing localization will also support us for our margin case.
Regarding compan y’s growth, see, our fundamentals are very, very strong. Our market shares are increasing. Our demand pipelines are very healthy. Inventories are getting normalized, and brand strength is at its peak, as I


mentioned. So, very soon, we will try to catch our previous sale growth and margins. That is the maximum I can explain to you right now at this point.
Latika Chopra: This is super helpful.
Moderator: We will take the next question from the line of Praveen Saha y from PL Capital. Please go ahead.
Praveen Sahay: My first question is related to the market share gain in your key product categories. In some of the categories where you already hold some very high or a leadership position, where do you see further scope for a market share gain, or do you believe this somewhere it is saturated?
Aditya Bhasin: So, this question will be addressed to Mr. Sanjay Chitkara.
Sanjay Chitkara: So, I am a sales leader for LG Electronics, and it is my day -and-night endeavor to improve the market share of the company. So, there is no limit. If you see, our OLED market shares are touching 62%, and tha

t is the market share we will benchmark for other products also.
If I talk about our microwave market share, it is 45.4%. See, just half of the market is with LG Electronics. Washing machine also, 33.4%. The gap with

the number two player is around 16%. So, w e will definitely like to catch the market share of these products.

One very important thing we need to understand, when the market share comes for the premium product, LG's market shares are very, very high, and it is in the range of 40%. And volume zone also, we are market leader, but relatively less.

India is moving towards premiumization, and LG is moving very fast towards premiumization. And when our premium product portion will improve, our overall market share will improve, our profit will improve. This is the whole summary of my submission.

Praveen Sahay: Thank you for that , sir. Next question is related to what you had mentioned about the refrigerator and washing machine. You had taken a 1.5 % to 2% of



price hike. Is that a price hike in the Q2 and absorbed already in the market, or yet to?

Aditya Bhasin: This question will be addressed to Mr. Sanjay.

Sanjay Chitkara: So, this price increase we have done in the month of October, which is Q3. That price increase was not in Q2 . And with the initial consensus with partner, which obviously takes time, a week or 10 days, now the selling has already started at the new prices, and these prices are getting settled. See, during Diwali time, we always do very aggressive promotion, but post -Diwali, we rationalize our promotional intensity. It is a yearly affair, and it is nothing new for us. We handle d such situati on in the past very successfully, and this time also, we handle d this activity very successfully. Being a market leader, other brands also benchmark us. When we take such efforts, they also benchmark us.

Praveen Sahay: Thank you for that. The next question is some numbers if you can share product -level revenue, if you can share, and the CapEx for '26 and '27.

Aditya Bhasin: This question will be addressed to Mr. Atul Khanna .

Atul Khanna: So, gentlemen , as you have asked for the product -wise revenue, though we have given the segment -wise revenue already in the stock exchange as well as in the newsprint also, we cannot share exactly the product -wise revenue like refrigerator, washing machine because it i s competitive sensitive information.

Coming to your second question regarding CapEx, we normally do CapEx investment in the range of 2% to 2.5% of our total revenue yearly, and we would be continuing for our existing two plants, as I said in my previous answer about the CapEx.

Secondly, the meaningful investment would be coming in for our third factory, which would be in totality INR 5,000 crore within a span of four to five years. The construction has already started, so we would be doing a phased manner investment. Almost, you can say, I will tell you around INR 1,000 to INR 1,200 crore per year.



In the first year, it would be Fiscal Year ' 26 would be a little larger, whereas the capitalization will happen in Fiscal Year ' 27 because our first line of operation will start from October '26, and the second line of aircon compressor will start in Fiscal Year ' 27 only by March 2027.

By that way, we are confident we are on the right track in doing our manufacturing of our construction of our plant in the Sri City.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I now hand over the call to Mr. Aditya Bhasin for closing remarks.

Thank you, and over to you, sir.

Aditya Bhasin: Well, in the interest of time, we are closing our call, but you are always welcome to give me a call since you all have many questions, and I am waiting for that. With this, we end our call today, and on behalf of LG Electronics India Limited, we thank you for joining us, and you may now disconnect your calls.

Thank you.

Moderator: Thank you, sir. Have a great day.

Disclaimer : There are certain minor grammatical errors appears in Audio inadvertently which have been corrected in the Audio
transcript .

## Call: Feb 2026

LG Electronics India Limited
(16th to 20th Floor) C - 001, Tower D, KK Project, Sector -16 B.
Noida - 201301 Dist. Gautam Buddha Nagar, UP (India )
T: 91-120-651-6700 Website: www.lg.com/in
Email id: cgc.india@lge.com
Regd. Office: A-24/6, Mohan Cooperative Industrial Estate, Mathura Road, New Delhi – 110044
CIN: L32107DL1997PLC22010 9

LGEIL/CGC/2025 -26/42

Date: February 18 , 2026

National Stock Exchange of India Limited BSE Limited
Exchange Plaza, C -1, Block G Phiroze Jeejeebhoy Towers
Bandra Kurla Complex, Dalal Street,
Bandra (E), Mumbai – 400 051 Mumbai – 400 001

NSE Symbol: LGEINDIA Scrip Code: 544576

Sub: Transcript of Earning s Call in respect of Financial Resul ts for the quarter and nine months ended December 31 , 2025

Dear Madam/Sir,

This is in reference to the Company ’s intimation dated February 04, 2026 filed with the S tock Exchanges pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , regarding the Earning s call held to discuss the financial results of the Company for the quar ter and nine months ended December 31, 2025 , which was scheduled on February 12, 2026 .

Further to the audio recording already submitted to the Stock E xchange s, we hereby enclose the Transcript of the said Earnings Call.

The same is also available on the Company’s website at:
https://www.lg.com/in/investorrelations/quarterly -reports/

You are requested to take the same on record.

Thanking You,

Yours truly,
For LG Electronics India Limited

(Anuj Goyal )
Company Se cretary and Compliance Officer

Encl: As above



“LG Electronics India Limited
Q3 FY '26 Earnings Conference Call”
February 12, 2026

MANAGEMENT : MR. DONGMYUNG SEO – WHOLE -TIME DIRECTOR & CFO
MR. SANJAY CHITKARA – CO-CHIEF SALES & MARKETING OFFICER

MR. ATUL KHANNA – CHIEF ACCOUNTING OFFICER
MR. GAGANJEET SINGH – CHIEF MANUFACTURING OFFICER
MR. GURPINDERJEET SINGH – HEAD, FINANCIAL PLANNING
MR. SOONJOO SEO – INVESTOR RELATIONS OFFICER
MR. ADITYA BHASIN – HEAD, INVESTOR RELATIONS

MODERATOR : MR. BHAVANI KUMAWAT – AXIS CAPITAL LIMITED



Moderator: Ladies and gentlemen, good day and welcome to the LG Electronics India Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please sign al an operator by pressing star then zero on your touch -tone phone. Please note that, this conference is being recorded.
I would now like to hand the conference over to Mr. Bhavani Kumawat from Axis Capital. Thank you, and over to you, sir.
Bhavani Kumawat: Yes, thank you so much. On behalf of Axis Capital, I would like to welcome all the participants to the Q3 FY '26 Earnings Conference Call of LG Electronics India Limited. I would like to inform you that, the call is being recorded and the audio call and transcript will be available on the company website.
First of all, I would like to thank LG Electronics for giving us the opportunity to host the call and would now like to hand over the call to Mr. Aditya Bhasin, Head Investor Relations. Thanks, and over to you, sir.
Aditya Bhasin: Thank you, Bhavani. A very good evening to everyone. I would like to welcome you to the Q3 FY '26 Earnings Call of LG Electronics India Limited. Hope you have gone through our earnings presentation uploaded on our website and Stock Exchange.
I also want to remind you of the Safe Harbor. We may be making some forward -looking statements that have to be understood in the conjugation with the uncertainties and the risks that the company faces.
We have our senior management here today with us, being represented by Mr. Dongmyung Seo, Chief Financial Officer; Mr. Sanjay Chitkara, Co -Chief Sales and Marketing Officer; Mr. Atul Khanna, Chief Accounting Officer; Mr. Gagan jeet Singh, Chief Manufacturing Officer; Mr. Gurpinderjeet Singh, Head Financial Planning; and Mr. Soonjoo Seo, Investor Relations Officer.
Without further delay, I would like to invite our CFO, Mr. Dongmyung Seo, to share his opening remarks and take us through the long -term vision for LG Electronics India. Thank you and over to you, sir.
Dongmyung Seo: Namaste. Good evening, everyone, and thank you for joining us today. It is an hono ur to present our second earnings report as a listed company today. We are pleased to share LG Electronics India's financial results for the third quarter of FY 2026.
First of all, let me provide an overview of this year's business environment. The business landscape has been impacted by several external pressures, including US tariffs, sharp currency fluctuations, purchases deferments following the GST announcement, ge opolitical uncertainties, and softening consumer demand driven by rising prices. Despite these challenges, we continued


to expand our market share and strengthened our leadership in premium product categories such as OLED TVs, side -by-side refrigerators, and five -star air conditioners.
The fourth quarter also began on a positive note, with strong demand across categories, particularly in home appliances, supported by our successful transition to the new BEE ratings. Backed by robust execution and solid fundamentals, we expect to exceed o ur performance from last year's fourth quarter.
Now, let me highlight several achievements that further show our leadership, innovation, and long-term commitment to the Indian market. Firstly, we secured an incentive of INR705 crores from the Government of Maharashtra, strengthening our manufacturing base and reaffirming our long -term investment in India.
Secondly, we were among the first brands to launch India's first 2026 BEE compliant air

conditioners, showcasing LG's leadership in energy -efficient technology. Thirdly, we received the National Energy

Conservation Award from the President of India for Hom e Appliance of the Year for our washing machine, another testament to LG's commitment to innovation and leadership.
Finally, subject to external factors including market situation, we aim to double our export value by exporting premium products manufactured in India to the US and Europe, supported by the India -US tariff negotiations and the India -EU FTA negotiations.
With this foundation, I will now hand over to our IRO, Soonjoo Seo , who will share the progress we are making towards our future vision. Thank you.
Soonjoo Seo: Thank you, Mr. CFO. Let me now provide an update on the progress of our future vision. As part of our Make for India strategy, LG Electronics India is strengthening its product roadmap by combining global technology leadership with deep insight into the In dian customers. The best example of this is our new Essential Series, a product range designed for aspiring consumers and first -time buyers, and has been launched in under -penetrated regional markets, where it has received an excellent respons e.
We remain committed to growing alongside Indian customers by offering high -quality products at reasonable prices, backed by LG's trust ed technology. Aligned with our Make in India strategy, we are accelerating manufacturing expansion through the construction of our third manufacturing plant in Sri City, Andhra Pradesh. Construction is progressing smoothly and we plan to begin production of combined heating and cooling air conditioners in the fourth quarter of this year, followed by compressor production in the next phase.
Our two other plants continue to operate with a strong supply chain, efficient logistics, and industry -leading operational excellence. As our manufacturing ecosystem strengthens, we are accelerating localization to further reduce costs, shorten time to mar ket, and deliver great value to our Indian customers.


In line with our Global South strategy, we are leveraging India's robust manufacturing capabilities to expand exports of premium products. As the CFO mentioned earlier, the Indian government's proactive measures, particularly the rationalization of the Ind ia-US tariffs to 18% and the conclusion of the India -EU Free Trade Agreement, have significantly improved the export outlook.
We see this as an important step toward realizing our vision of Make India Global. While subject to chang ing, depending on external factors including market situation, we are optimistic about doubling our export of premium India -manufactured products next fiscal year, primarily driven by export to the US and Europe. These exports will not only support sales growth, but also enhance domestic premium production and improve margins, strengthening LG India's position as a future global export hub.
These factors highlight the resilience of LG India's business model and the enduring strength of our brand. LG India is focused on building a strong foundation for the future. Beyond our core B2C products, we are actively exploring new growth opportunities , including non -hardware regular maintenance services like the AMC business, as well as B2B opportunities in information displays and commercial air conditioners.
To support these initiatives, we have redesigned our organization to accelerate execution and strengthen our growth capabilities. We established an export organization to scale exports, improve cost competitiveness, and strengthen LG India's global footprint, particularly in North America.
We also established a dedicated AMC organization to expand our AMC business, increasing profitability and deepening customer relationships. In addition, we have created the role of Chief Strategy Officer, to build a high -performance business portfolio, pre pare for future opportunities and align company -wide growth initiatives.

Through these strategic actions, we are laying a more solid foundation for long -term growth. At the core of this journey is our commitment to shareholder value creation, sustainable growth and profitability, which will remain central to LG India's future j ourney.
I will now hand over to Mr. Atul Khanna, our Chief Accounting Officer, to walk you through financial performance. Thank you.
Atul Khanna: Thank you, Mr. S eo, and good evening everyone. Let me now share an overview of LG India's financial performance for the third quarter of fiscal year 2026. The quarter began on a positive note with the consumer durable industry, witnessing encouraging demand momentum. The GST rate rationalization announced earlier in September continued to provide a strong tailwind,

particularly in the Television category.
We saw healthy traction during the festival season, especially in the Premium segment where large screen and OLED models gained strong consumer preference. The combination of improved sentiments, wedding season demand and attractive financing options, help ed drive


growth across premium appliances. This translated into resilient market share gains and reaffirmed both the strength of our brand and power of our robust distribution network.
As we moved post the festive period, demand trend became subdued, especially in the compressor -based categories such as air conditioners and refrigerators. Cooler than expected weather conditions in the first half of the year, coupled with cautious consume r sentiment, weighed on volumes in these segments. Despite these challenges, we were able to increase our market share on a YTD basis, even after taking price hikes in select categories to offset input cost increase and FX pressure.
In Q3FY 2026, LG India reported a revenue from operations of INR 41.14 billion, compared to INR 43.96 billion in the same quarter last year. EBITDA stood at INR 1.96 billion with a margin of 4.8% versus INR 3.4 billion and 7.7% in quarter 3 FY 2025. EBITDA margin declined due to combined effect of subdued sales impacting operating leverage, increased input cost, currency -related headwinds and impact of the new Labour Code .
Let me now touch on working capital. As of 31st December 2025, our working capital stood at INR 11.3 billion, as compared to INR 8.1 billion as on 31st December 2024. The increase was primarily due to incremental inventory in compressor -led products as we are planning for upcoming summer season with new BEE norms and temporary support with extended additional payment days to our tra de partners, offering them greater flexibility and support. Our cash and bank balance as of 31st December 2025 remains healthy, at INR 45.0 billion.
As disclosed earlier, in line with our long -term growth strategy, we continue to reinvest in our business. A key milestone is the upcoming expansion of our manufacturing capability with INR5,000 crore s, investment in our Sri City plant in Andhra Pradesh. This facility is poised to become a strategic asset for both domestic operations and export markets, enhancing production capacity, improving logistics efficiency and supporting our localization roadmap .
The project is progressing in line with our internal targets and we expect to commence the first line of room air conditioner business operations in the last quarter of current calendar year that means, calendar year 2026. Importantly, the capex will be funded entirely through internal accruals, deployed in a phased manner over the next 4 to 5 years.
I would also like to highlight an important development. LG India has successfully entered into a nine -year Advance Pricing Agreement with Central Board of Direct Taxes, covering a period of 9 years – from FY '14 to FY '23,. This agreement provides long -term certainty on transfer pricing matters and eliminates contingent liabilities

of nearly INR 4.87 billion related to direct
taxes and royalty payments.
While there is a modest one -time tax outgo, the settlement significantly de -risks our tax profile, enhances transparency, and improves earnings visibility. This milestone further strengthens our financial foundation and reinforces confidence in our ability to deliver sustainable growth and shareholder value.


With that, I would now like to hand over to Mr. Aditya Bhasin, Head IR, who will walk you through the segmental performance and share insights into our outlook for the coming quarters. Over to you, Mr. Bhasin.
Aditya Bhasin: Thank you, Atul ji, and good evening, everyone. Let me now take you through our segmental business performance for the third quarter of fiscal year 2026, starting with our Home Appliance & Air Solution segment. In the third quarter, our Home Appliance & Ai r Solution segment maintained clear leadership.
Festive demand supported growth, though post -Diwali softness moderated momentum in the compressor -led products. However, our premium launches, including French door refrigerators and AI -enabled washing machine 2.0, reinforced our leadership.
Let me now share the glimpse of product -wise market share for YTD December 2025. In the washing machine category, our market share stood at 33%, maintaining our leadership in this category. In refrigerator s, we stood at 30%, an increase of 0.5% compared to YTD December 2024, which is reflecting the continued strength in our core appliance portfolio.

In the AC category, our share was 17.3% with an increase of 0.4% compared to YTD December 2024. In the premium category, our side -by-side refrigerator market share increased to 43.3%, an increase of 2.9%, highlighting our leadership in premium cooling segment.
Talking about segment financial performance, revenue for the segment was INR 27.88 billion compared to INR 30.91 billion last year, with EBIT margin of 4%. The margins decreased due to low revenue which impacted operating leverage, increased raw material prices including copper and aluminium , and foreign exchange volatility further added pressure on margin.
Looking ahead at Q4 FY '26, the new BEE norms are boosting consumer interest in upgraded appliances, supporting demand recovery across categories. Overall, industry segment remains positive, with consumer preference for premium energy -efficient products and low penetration continues to p rovide opportunities in the volume zone. Margins continue to face pressure from elevated raw material cost and FX volatility, though industry -wide price adjustments are helping to partially mitigate these impacts.
During this quarter, we will be launching a new range of RACs and expand our BEE -rated refrigerator portfolio, including a 2 ton five -star air conditioner and a new range of French door models which will further strengthen our premium line up. In addition, we are entering the chest freezer category and introducing new essential products such as sub -1 ton, which is 0.9 ton inverter air conditioners, along with new range of 10 kg top -load washing machine and more variants of refrigerator.
These initiatives reinforce our leadership in the premium segment , while broadening our presence in the value segments, positioning us for sustainable growth across the portfolio. A favourable summer season is expected to further support the growth momentum and continue maintain market leadership.


Moving on to our Home Entertainment segment. The segment saw strong traction at the start of the quarter, driven by festive and wedding season demand as well as the GST rate cut, particularly in televisions. Offline TV market share improved with OLED share rising to 62.4%, an increase of 2.7 percentage points, reinforcing our leadership i

n premium televisions.
Demand softened post -festival, moderating overall momentum, but B2B growth in information displays continued to contribute positively. The segment revenue from operations stood at INR13.26 billion, up by 1.7% year -on-year from INR13.05 billion in Q3 FY25. Margins, however, were impacted by the post -festival demand slowdown and input cost pressures, though the premium TVs and B2B opportunities provided resilience.
Looking to Q4, the market continues to see traction in premium televisions supported by rising consumer preference for large screen formats. B2B growth in information display is being driven by increased government infrastructure spending in education and steady investments from the multinational company sector.
LG's premium portfolio resilience and operational efficiency are positioning the company to deliver sustained growth and profitability. The B2B business led by information displays is strengthening further by capitalizing on India's expanding infrastructur e sectors, particularly in education and corporate investment.
Now to summarize, our Q3 results were below internal targets, but this is a temporary phase. Our long -term fundamentals remains unchanged. Despite demand challenges, we implemented price increase in key home appliance categories, protecting profitability while expanding year -to-date market share.
Q4, on the other side, has begun on a very strong note with broad -based sell -in growth across product lines led by category recovery in home appliance segment. Our fundamentals remains unchanged with strong brand equity, disciplined execution, and a clear focus on long -term shareholder value.
Strategically, we are expanding product leadership across premium and value segments through LG Essential, strengthening manufacturing capabilities through our upcoming Sri City facility, and driving innovation and localization to ensure our offerings are tailored to Indian households while remaining competitive.
With that, we conclude our remarks. We now request the operator to open the lines for the Q&A session. We look forward to addressing your questions.
Moderator: Thank you. Our first question comes from the line of Umang Mehta from Kotak Securities. Please go ahead.
Umang Mehta: Hi, thanks for the opportunity. My first question is on inflation. So , based on spot RM prices and the impact of new energy efficiency norms, what would be the price hikes required across categories, and how much is already passed through?

Aditya Bhasin: This question will be addressed by our CO -CSMO, Mr. Sanjay Chitkara.
Sanjay Chitkara: So, we acknowledge that there was a price increase in input costs, particularly metal s like copper and aluminium, But we are a global company and we have a massive large scale global procurement. And we have a very long -term raw material contract with our vendors and a excellent backward integration, so we can secure the best price for raw material s which helps manag e and mitigate the volatility.
The new BEE norms are coming, and with this, we are improving the efficiency of our product by 11%. So with this, we are increasing the price. So there would be almost 7 to 8% price increase on three -star A cs and we are increasing prices by 9 to 10% on five -star ACs we are increasing for the new BEE star -rated products.
And as said, like we have seen a recent GST cut has been done, and that will largely offset this impact ensuring th at effectively there is no burden on our customer, and they will get the A cs practically at last year price itself . As a market leader, we generally take to price hikes only when it is absolutly required and ensur e that our price positioning remain competitive and to protect our margins.
how are other companies responding, we will not like to comment on that, but we are very confident

that our procurement strength, our product mix, our leadership position allow s us to manage costs inflation effectively and manag e our growth too. Thank you very much.
Umang Mehta: Thank you. And the second question I had was on your exports. So what is the level of confidence on doubling exports next year? Apart from tariffs, are there any other risks to this guidance? Thank you.
Aditya Bhasin: So this question will be addressed by Mr. Atul Khanna who is our C AO.
Atul Khanna: Thank you for the reasonable question. LG India currently exports around 6% to 7% of total revenue to 54 neighbouring countries such as Nepal, Bangladesh, Middle East and Southeast Asia. With our strong manufacturing capabilities and operational excellenc e, India has emerged as a global production hub for LG Group. Under the Global South initiative, expanding the business in fast -growing and emerging markets, India now stands at centre of out HQs export strategy.
LG India, plans to identify new export destinations from our third manufacturing facility to expand exports of premium products to wider markets. Internal preparations are underway, including revisions to the production line tailored to the expanding expor t markets. We are very confident about our export business moving forward from fiscal year '27 and onwards given U.S. tariff rationalization the signing of the EU FTA, giving us additional opportunit ies to add on to our export business.
Subject to external factors, we are aiming to doubling our exports from the next financial year, fiscal year '27. We have developed our production capability to manufactur e premium products



like side -by-side refrigerator s, large capacity top freezer s, which is 650 litres plus refrigerator, at our Pune manufacturing plant already. And these premium product s have already passed the quality standard, usage pattern, and design specs of the U.S. market, which gives benefit to add up the new geographies like U.S. and other developed economies.
Overall, apart from this tariff structure risk, we remain confident of expand ing our exports. These exports will not only drive revenue growth but also elevate premium production in India and improve margins, firmly positioning LG India as a future global export hub. Thank you.
Umang Mehta: Got it. Thank you so much sir.
Moderator: Thank you. The next question comes from the line of Sonali Salgaonkar from Jefferies Group. Please go ahead.
Sonali Salgaonkar: Thank you for the opportunity, and thanks team for the very good presentation at the outset. It's good to hear that the market share in key categories have been retained and also grown to a certain extent. Sir my first question is regarding the strategy o f the company over the next 2 to 3 years. If you could let us know which are the key growth catalysts that you would require and where do you envisage them over the next 2 to 3 years?
Aditya Bhasin: So this question will be addressed by our CFO, Mr. Dongmyung Seo .
Dongmyung Seo: [Foreign Language] LG India continues to show resilience and strength even in a challenging environment. Our fundamentals remain solid, and we have steadily expanded our market share.
Going forward, growth will be driven by a stronger premium B2C portfoli o, while we also

broaden our presence in the mass segment through the new LG Essential series, particularly targeting Tier 2 and Tier 3 markets and first -time buyers. We are also entering new product categories such as chest freezers to reach a wider consumer base.
On the B2B front, momentum will come from HVAC and information display solutions, supported by high -margin non -hardware recurring revenue streams such as the AMC business.
Exports from our third factory will further extend our market reach and following th e rationalization of U.S. tariffs, we are actively evaluating new oppo

rtunities.
Localization has already increased from 45.1% in FY '22 to 54.6% in Q3 FY '26, and will continue to rise under the Make in India initiative. Collectively, these initiatives will position LGE India to achieve sustainable and profitable growth over the next three years. Thank you.
Sonali Salgaonkar: Thank you, sir. So, my second question is regarding the price hikes again. Now, you did mention -- Mr. Chitkara did mention the 7% to 10% price hike in three to five -star aircons since January, but what about the other product categories? Can you also hel p us with the quantum of the price hikes in the other key categories and also when did you take them?
Thank you.


Aditya Bhasin: This question will be addressed by our Co -CSMO, Mr. Sanjay Chitkara.
Sanjay Chitkara: So, I spoke about air conditioners, but specific to other products, we are increasing the prices for washing machine and refrigerator. It is to the tune of 2% to 3% and that price increase was taken in the month of November. And we are very vigilant about the situation so on the one hand, we want our product to be very competitive, but on the other hand, our margins are also our priority. So, whenever any call is to be taken on price, we are taking it.
Sonali Salgaonkar: Got it sir. Thank you very much and all the best to the team.
Moderator: Thank you. The next question comes from the line of Sanjeev from Motilal Oswal Financial Services. Please go ahead.
Sanjeev: Thank you for the opportunity, sir. My first question is on margins. So, can you elaborate on specific cost items which has led to margin compression in this quarter? Because if we look at gross margin, that seems to be largely stable year -on-year. Also, what level of margin should we consider on a sustainable basis going forward?
Aditya Bhasin: So, this question will be addressed by our C AO, Mr. Atul Khanna.
Atul Khanna: Yes, thank you for the very reasonable question. Pressure on margins was a temporary phase in this quarter and there is no issue as far as company fundamentals are concerned. Q3 is traditionally the smallest quarter in our sales cycle, amounting is around 16% to 17% of our total revenue, and the revenue softness during this period had a direct impact on operating leverage, relatively in our compressor -based products where fixed cost absorption structurally impacted margins.
There is another one -time impact related to new wage code basis government regulation change.
Thirdly, on the compliance cost, which is related to electronic waste, we added some burden on the margins along with RMC cost and FX fluctuation also impacted our margins.
We have also initiated a strong drive for annual maintenance contract business, which is a new revenue stream, where we have gained strong growth, though the top -line impact will come only when after the expiry of the product standard warranty, which is normally one year, which is when we have to pass the AMC incentive to partners and promoters, we have done that accounting as their obligation of sales completed. So , this is just a temporary timing gap with respect to the AMC incentive cost.
With respect to PAT, I need to highlight here that we signed an Advance Pricing Agreement with CBDT where one -time tax outgo impacted our PAT, but our contingent liability of INR488 crores comes to zero in relation to transfer pricing litigations and royal ty payments to the parent company, and this is for a period of nine years, 2014 to 2023.
Our margin sustainability is driven by our strategic initiatives going forward as we have built on our localization rate to 54.6% in this quarter to reduce import dependency and manag e cost


inflation, channel mix and premiumization across all key product categories, expansion of our non-hardware

revenue AMC services to create a recurring high -margin revenue stream, focus on our B2B business where recovery in government orders has already begu n in Q3 and orders

are expected to contribute in Q4 from multinational company orders, giving us opportun uties in education and infrastructure expansion.
With respect to exports, the US tariff rationalization, will help accelerate our commitment to Make India Global as we optimize production to serve both domestic needs and expand exports.
We are assessing with our headquarters for the feasible allocation for FY 2027 and we are estimat ing almost doubling our exports in financial year 2027.
Despite these headwinds, we remain fundamentally strong. Q4 is historically our largest quarter, and we are confident of deliver double -digit revenue growth and EBITDA margin better than last year 's Q4 in mid -teen digits. That is for Q4. Our overall outlook for FY '26 is to deliver early single -digit revenue growth with EBITDA margin in double -digit.
As you asked for the future outlook for FY '27, our guidance is very clear. With all our good initiatives, our guidance is to deliver double -digit revenue growth and sustain early -teen digit margins in line with our FY '25 margin levels, supported by premium product launches, diversified portfolio, strong brand equity. We are confident to reinforcing LG India's leadership and delivering sustainable value creation. Thank you.
Sanj eev: Thank you for the detailed answer, sir. Second question is on depreciation. There seems to be an increase on a sequential basis. So , what is the reason for that because I think most of the capex will be seen in FY '27?
Aditya Bhasin: This question will also be addressed by Mr. Atul.
Atul Khanna: So, depreciation, we all know that is an impact towards the capitalization for building the manufacturing capabilities, increasing our localization on sub -assemblies, and bringing in new technology innovative products.
During the year '25, 9-month period, April to December, the total investment amount was INR420 crores with respect to when we compare it to last year, it is INR 220 crores. So , the investment was being done to bring on our manufacturing capabilities localization. For that reason, the depreciation impact increases during this quarter with respect to last quarter, number one.
Number two, we get central government incentives on regular basis, for the capex investment under M -SIPS, Modified Special Incentive Package Schemes, which is also being accounted for to neutralize the impact of depreciation as it is being given for the capex investment only, considering the life of an asset.
During this quarter, we did not realize such high incentive of M -SIPS due to various factors including government budgetary issues, though from Q4, we will start receiving this on regular



basis for our projects already in the pipeline for which we have already applied to the, Ministry of Electronics and IT, to get the incentive refunds. Thank you.
Sanjeev Singh: And can you give the quantum of the incentive, which you receive every quarter? Thank you so much.
Atul Khanna: So, amount particularly is based on the capex investment for each project of phase, as we do normally phase -wise investment like for refrigerator, air conditioners, washing machine, TV in our both the plants, existing plants.
So, we received the incentive in Q3 20 25 a huge amount as the projects were little larger, where the larger projects we have already applied for the incentive refunds, which we will receive in Q4, as well as going forward in Q1 of FY 2027. Thank you.
Sanjeev: Okay. Thank you so much sir.
Moderator: The next question comes from the line of Praveen Sahay from Prabhudas Lilladher Capital. Please go ahead.
Praveen Sahay: Thank you for the opportunity. My first question is related to the

incentive as you had
highlighted that approximately around INR 705 crores you are going to receive from the Maharashtra government. So, can you give some specific timeline for the disbursement of that amount, and also LG India is expected to receive any portion in this financial year FY 2026, and how these incentives will be treated in our financial statements?
Aditya Bhasin This question has two parts. The first one will be addressed by our CFO, Mr. Dongmyung Seo , and the second one will be addressed by Mr. Atul Khanna.
Dongmyung Seo: [Foreign Language] Thank you for the question. On January 16, 2025, the Government of Maharashtra issued an eligibility certificate to LGE India under the Electronics Policy 2016 for a mega expansion projects.
This approval recognizes investments of INR 705.7 crore s made between November 1, 2017 and October 30, 2024, qualifying us for incentives of the same amount in the form of SGST refunds, electricity duty and stamp duty exemptions, refunds of employees' EPF contributions, power tariff subsidies, and property tax exemptions.

The incentive entitlement is valid for 15 years starting from May 1, 2025 to April 30, 2040, with
an annual disbursement cap of INR 47.04 crore. While the benefit will accrue over the 15 -year
period, we expect to begin realizing a portion of these incentives in the current year.
In our financial statements, these incentives will be recognized as income -linked to the
underlying expense categories, thereby, strengthening our profitability profile and enhancing
cash flows, while also underscoring the government's confidence in LGE In dia's long -term
growth and contribution to the state's industrial ecosystem. Thank you.


Atul Khanna: With respect to your second question regarding how much would be booked in the current
financial year FY '26, this entitlement is for 15 years with an overall cap of INR 47.04 crores. It
is from May '25 to April 2040. So , we would be accounting for almost INR 43 crore s rupees in
this fiscal year '26 as it is a period from May '25 to 31st March 2026. We will account INR 43
crores in this financial year. Thank you.
Praveen Sahay: All right. Thank you for this. Second question is related to the recycling cost related to the
compliance. Last quarter also we had seen some cost has arisen out of that, this quarter as
well. Is this cost is recurring in the nature, the way forward also, we'll continue to see. And
how much is the quantum of that?
Aditya Bhasin: This question will also be addressed by Mr. Atul Khanna.
Atul Khanna: So, thank you for the question. The recycling cost, if you recall that I have explained in the last
meeting, that the targets are for every two years and this , was changed revised as per the the
government norms. Till fiscal year '25, the target for recycling was 60%, and now for fiscal year
'26 and fiscal year '27 is 70%. And going forward for fiscal year '28 onwards, the target would
be 80%. So for fiscal year '26, the target is 70%. So , increase in the 10% target has a resulted in
increasing our incremental electronic recycling cost burden . That is the reason.
Praveen Sahay: Okay. Okay. Any quantum? Can you give?
Atul Khanna: If we talk about quantum -wise, this would be almost, I will say, 0.15% of our total revenue, in
principle, the incremental portion with respect to fiscal year '25. Though this quarter, quarter 3
was soft in demand revenue, so that is the reason that it has impacted by 0.3%.
Prav een Sahay: Thank you, sir. And all the best.
Moderator: Thank you. The next question comes from the line of Natasha from Phillip Capital. Please go
ahead.
Natasha: Thank you for the opportunity. So , my first question is on the TV product category. Now
on the margin decline, it has been very sharp both Y -o-Y and sequentially. And assuming
sequentially, there

was a GST rate cut and the benefit must have flown in. So is the margin
off because of the glo bal headwinds like your chip prices, panel prices, and then you import
a lot of your BOM cost, so currency depreciation there?
And if it is so, these problems continue to persist. So -- and then we have a softer quarter that is
Q4 and Q1 in terms of TV. Because this is a high -margin segment for you, would that mean that
at least in the first half of this calendar, your home entertainment business could continue to see
more pressure in terms of margins?
Aditya Bhasin: So, this question will also be addressed by our Co -CSMO Mr. Sanjay Chitkara.
Sanjay Chitkara: So yes, thanks for this question. Yes, there was some pressure on input cost, as you rightly
mentioned. But for LG India, this impact was mitigated by our strong brand power . Because of


our strong brand power, we were able to take some premium over other competition and a heavy
premium heavy model mix.
And we are focusing more on larger screen to mitigate this pressure. In fact, industry data shows
that 43 -inch and above TVs now account for two -thirds of sales in India, which is clearly
reflecting that customer shifts towards the premium product. And whe n it comes to the premium
products, LG becomes their natural choice. So , the demand dynamics support stable and even
better margin despite of cost inflation .
Let me tell you that LG India continues to strengthen its profitability through cost -efficient local
manufacturing premium TVs. By focusing on local manufacturing and procurement, the
company reduces the import duties, logistics expenses, and currency risk. Currently, the local
panel sourcing contributes roughly 29% for us, while overall local TV module procurement has
already exceeded 55%.
The key components for TV like UHD 43, 55 module are already sourced locally and we have

a plan to expand this to the 32 -inch Full HD TV also module for the next year. So , this strategy is not only enhancing our profitability, but also strengthens our product portfolio and improving our market shares and increasing the overall business towards the premium demand. So , we are very watchful and we will incorporate price increases whenever it is needed for our new PRM.

Natasha: Got it. So , can you just once again tell me the consolidated import in terms of BOM cost per TV, percentage -wise?

Sanjay Chitkara: So, see, we understand your interest on this information, but it's a bit competition -sensitive information. And we think that it is not a right place to disclose this.

Natasha: Understood. No problem. So , my second question is on, more again, near -term in terms of RAC, so you've mentioned that the secondaries have picked up. While it definitely has, just wanted to understand will that trigger primary sales too, because I believe the channel is choke -blocke d with inventory? So , would that lead to any strong primary growth in the near -term, say fourth quarter?

Aditya Bhasin: So, this question will be address by Mr. Sanjay Chitkara sir, again.

Sanjay Chitkara: So, see, we have already seen this AC season is very cyclical, and we have seen a softer summer last year. And we are very hopeful that this year will be a very hot summer. And we have already seen the reflection of this, January sale has shown a better resul ts as compared to the same period in the last financial year .

But we have to also see that our core demand drivers for, AC business is low penetration in India, premiumization and shift towards the energy -efficient ACs. We have recently introduced many missing segments in our AC business, like we were not present in five-star two -ton AC segment. We have now introduced this AC to the market.



We were also not there in sub -one ton capacity .

Under our Essential series we have also provided that AC in the market. 12% of the industry ’s portion is covered by fixed -speed ACs, another segment where too LG India was not present, this year we have entered this segment as well with more energy -efficient three star Acs.

Let me also tell you, it's a matter of great pride that during last financial year, LG was number two player in AC business, while this year we have gained absolute leadership in the AC business we are now the number one player in the AC business. We believe that this year the inventory has been already normalized, new BEE star rating ACs have come, we were the first one to introduce these AC s, overall channel motivation and confidence is very high and we will see a very good summer season this year.

Natasha: Understood sir. That’s extremely helpful. Thank you and all the very best.

Moderator: Thank you. Our next question comes from the line of Pravin Yeolekar from Bajaj Life Insurance. Please go ahead.

Sujit Jain: Yes. Thank you for the opportunity. This is Sujit Jain. So just to get this right, Expo, you saying, could double in FY '27, itself in absolute terms, which is where $160 million could practically double in next year. Is that correct?

Aditya Bhasin: This question will be addressed by our C AO, Mr. Atul K hanna ji.

Atul Khanna : Yes, I explained earlier in another question that yes, we hav e a plan to expand our exports and doubl e our exports from $160 million, which was in FY '25 and FY '26 but in FY '27, we would be doubling our export sales , assuming that external factors stay conducive .

The U.S. tariff rationalization has happened and the EU, FT A has been signed giving us an opportunity to add on to our export business . These exports will not only drive revenue growth but also elevate premium production in India and improve our margins.

And we also have the product transfer of side -by-side refrigerator s, large capacity refrigerator, which is 650 liters plus capacity. We already have a production capability and capacity for this in our Pune plant. As we start our third manufacturing facility in Sri City, Andhra Pradesh, we are building a premium products line -up there as well and internal preparations are underway to increase our exports. Thank you.

Moderator: Thank you. The next question comes from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi: Yes. Thanks, sir. Just two questions. Memory prices have gone up materially. So especially for the TV business and even the display business, how do you see the inflationary pressures? That is question one. And second question, if you can share more details on LG Essentials, what has been the initial market share gain, if you can call out any, and whether

the product distribution has been across India, means, GT, MT, ECOM largely done, or
what can be the upside in FY '27 and '28? Yes, thanks.
Aditya Bhasin: Thank you, Aniruddha. This question will be addressed by CO -CSMO, Mr. Sanjay Chitkaraji.
Sanjay Chitkara: So, in the interest of time, I would like to remind you that two questions have just been answered.
So, I will move to your second part of your question, which is regarding the volume zone
Essential series.
So let me first give you the context that India is a very large and diverse market with multiple
customer segments . While LG was always a very strong premium brand, our intent is to extend
that premium experience to a wider audience customer base . So, through value engineering and
smart design, we are making products more affordable without compromising our core
technology, energy efficiency and the reliability.
So, this LG Essential Series is not about chasing volume. Definitely it will chase the volume
also, and it will help us to expand our market share. But it is also about br

inging new customers
into the overall LG ecosystem while maintaining our brand trust. So , we'll continue to focus on
our premium product, our premiumization, energy efficient, innovation, service, AMC business,
B2B solution business, and Essential Series will help us to participate in entry segments in a
very disciplined way. So it is a very b alanced strategy.
Talking about market share, which you just mentioned, so we have improved our market share
this year. Our market share improvement during this calendar year for refrigerator it is 0.5%,
room AC 0.4 % and TV category, it is 0.7%. Let me also tell you that o ur brand strength during
this period has been very high. in the washing machine segment -- our gap with number two
player has been the highest during this period.
For washing machine, we have created a gap of 15.8 % with the number two player, for
refrigerator s 5.9 % and for TVs 5%. Additionally , we are doing extremely well in the premium
segment. Our OLED TV market share is 62.4 %, which has improved 2.6 -point over last year.
Similarly for side -by-side, our current share is 43.3% which is also reflecting an improvement
of 2.9%. Thank you very much.
Moderator: Thank you. Ladies and gentlemen, we would take that as the last question for today. I would
now like to hand the conference over to Mr. Aditya Bhasin for the closing remarks.
Aditya Bhasin: Thank you, ladies and gentlemen. That was the last question for today and with this we conclude
today's conference call. However, if there are any further queries or clarifications, please feel
free to reach out to me. And on behalf of LG Electronics India Limited, we thank you for joining
us and you may now disconnect your lines. Thank you.

# Call: May 2026

LG Electronics India Limited
(16th to 20th Floor) C - 001, Tower D, KK Project, Sector-16 B.
Noida - 201301 Dist. Gautam Buddha Nagar, UP (India)
T: 91-120-651-6700 Website: www.lg.com/in
Email id: cgc.india@lge.com
Regd. Office: A-24/6, Mohan Cooperative Industrial Estate, Mathura Road, New Delhi – 110044
CIN: L32107DL1997PLC220109

LGEIL/CGC/2026-27/19

Date: May 28, 2026

National Stock Exchange of India Limited BSE Limited
Exchange Plaza, C-1, Block G Phiroze Jeejeebhoy Towers
Bandra Kurla Complex, Dalal Street,
Bandra (E), Mumbai – 400 051 Mumbai – 400 001

NSE Symbol: LGEINDIA Scrip Code: 544576

Sub: Transcript of Earnings Call in respect of Financial Results for the quarter and financial year ended March 31, 2026

Dear Sir/Madam,

This is in reference to the Company's intimation dated May 13, 2026 filed with the Stock Exchanges pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, regarding the Earnings call held to discuss the financial results of the Company for the quarter and financial year ended March 31, 2026, which was scheduled on May 22, 2026.

Further to the audio recording already submitted to the Stock Exchanges, we hereby enclose the Transcript of the said Earnings Call.

The same is also available on the Company's website at:
https://www.lg.com/in/investorrelations/quarterly -reports/

You are requested to take the same on record.

Thanking You,

Yours truly,
For LG Electronics India Limited

(Anuj Goyal)
Company Secretary and Compliance Officer

Encl: As above



"LG Electronics India Limited
Q4 & Full Year FY '26 Earnings Conference Call"
May 22 , 2026

MANAGEMENT : MR. DONGMYUNG SEO – WHOLE TIME DIRECTOR &
CFO
MR. SANJAY CHITKARA – CO-CHIEF SALES &
MARKETING OFFICER
MR. ATUL KHANNA – CHIEF ACCOUNTING OFFICER
MR. GURPINDERJEET SINGH – HEAD, FINANCIAL
PLANNING
MR. GAGAN JEET SINGH – CHIEF MANUFACTURING
OFFICER
MR. SOONJOO SEO – INVESTOR RELATIONS OFFICER
MR. ADITYA BHASIN – HEAD, INVESTOR RELATIONS

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES



Moderator: Ladies and gentlemen, good day and welcome to the LG Electronics India Limited's Q4 and Full Year FY 2026 Earnings Conference Cal l. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star followed by zero on your phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you and over to you, Mr. Joshi.
Aniruddha Joshi : Thank you, Michelle. On behalf of ICICI Securities, we would like to welcome you all to Q4 FY26 earnings conference call of LG Electronics India Limited. I would like to inform you that this call is being recorded and the audio call and its transcript will be available on the company website. First of all, I would like to thank LG Electronics management for giving us the opportunity to host the conference call. I would now like to hand over the call to Mr. Aditya Bhasin, Head of Investor Relations of LG Electronics India. Thanks and over to you, sir.
Aditya Bhasin: Thank you, Aniruddha. A very good evening to everyone. I would like to welcome you to the Q4 and full year FY26 earnings conference call of LG Electronics India Limited. Hope you have gone through our earnings presentation uploaded on our website and the stock exchange. I also want to remind you of 'safe harbour '. We may be making some forward -looking statements that have to be understood in conjunction with the uncertainties and the risks that the company faces.
We have our senior management here today, being represented by Mr. Dongmyung Seo, Chief Financial Officer, Mr. Sanjay Chitkara, Co -CSMO, Mr. Atul Khanna, Chief Accounting Officer, Mr. Gaganjeet Singh, Chief Manufacturing Officer, Mr. Gurpinderj eet Singh, Hea d Financial Planning, and Mr. Soonjoo Seo, Investor Relations Officer.
Without further delay, I woul d like to invite our IRO, Mr. Soo njoo Seo, to share his opening remarks and take us through LG Electronics India's performance and strategic highlights for the quarter and the full year. Thank you and over to you, sir.
Soonjoo Seo : Namaste. Hello everyone. Thank you for joining us today for the FY26 fourth quarter and full year earnings conference call. Despite the challenging external environment, LG Electronics India has continued to deliver steady performance. In FY26, we achieved meaningful growth together with our customers in India, driven by our strong market leadership in the domestic market. Let me first walk you t hrough the FY26 fourth quarter.
During the quarter, we faced temporary headwinds including a delayed summer season, the US - Iran conflict, continued depreciation of the Indian Rupee and rising raw material costs. Despite these challenges, our business fundamentals remain strong. We are al so firmly advancing our previously mentioned future growth strategic direction, Make in India, Make for India, and Make India Global. In the fourth quarter of FY26, we have achieved record high quarterly sales, which



is a significant achievement for LG Electronics India and a clear reflection of the strength of our business model.
In particular, our export expansion direction, aligned with the Indian government's export policy, is gradually showing positive results. At the same time, our localized products, such as the new

Essential series, have been successfully established in the market and we are seeing growth across all product categories. This reflects both the depth of our product portfolio and the broad reach of our brand. In addition, our non -hardware business, especially AMC business, continues to grow. It is becoming an im portant recur

ring revenue stream and is contributing positively to
overall profitability for LG across multiple areas for LG Electronics India.
Looking ahead to FY27, we have established a clear roadmap for our future growth s trategy. We call this strategy EXCEL. This stands for EX: Export expansion, C : Capability of new factory production, E : Expansion of market leadership, brand and new business, and L : Localization. Each of these pillars is already underway and we will now walk you through the progress and future plans in more detail.
First, let me begin with the most important pillar, export. As mentioned in our previous earnings call, we have already started export s of large capacity refrigerators to advanced markets in the first quarter of FY27. At the same time, we have also begun exporting our Essential Series to neighbouring countries.
Going forward, we aim to expand our export destinations and distributors, diversify our export product portfolio, and strengthen our dedicated export organization and infrastructure. These efforts represent an important step in our journey to transform LG Electronics India into a true global export hub. In addition, export growth provides a natural hedge against Rupee depreciation and is expected to significantly contribute to improving our profitability by enhancing cost competitiveness.
Secondly, the expansion of production capability at our third factory plant in Sri City is progressing smoothly and in line with our internal goals. Production of compressors in FY27 third quarter and room air conditioners is scheduled to start in the four th quarter of FY27, covering the January to March period. With a total planned investment of INR50 billion, Sri City will be established as a key manufacturing and export hub for the future.
Third, our product strategy is based on a two -track approach, covering both the premium segment and Essential Series, which represents the mass premium segment. We are proud to maintain market leadership across all major product categories in India. Looking ahead, we will further strengthen our market leadership while continuing to launch differentiated products and expand investment s in new business areas.
Fourth, we continue to advance our localization strategy. This year, our localization rate reached 55.2%, an improvement of about 1.4% points year -on-year. We are targeting an annual increase of more than 1 % to 2% points going forward. We expect this to contribute to stronger cost competitiveness and more stable management of foreign exchange volatility.


Looking at the first quarter of FY27, sales performance in April and May has already been encouraging. For FY27, we are targeting mid -teen digit revenue growth and early double -digit EBITDA margins. Given the relatively low penetration rate in the Indian m arket and strong demand for home appliances, we believe there is a significant structural growth opportunity ahead.
We will capture these opportunities by listening closely to the voice of the market and responding quickly and precisely, thereby strengthening our market position. Our goal is not to simpl y grow the business. We aim to deliver the best technology to homes in India, build world - class manufacturing capabilities in India, and establish a platform that delivers the best products in India to global markets through export. Make -in-India, Make -for-India, and Make -India - Global.
Now I would like to invite our CAO, Mr. Atul Khanna, to walk you through our financial performance.
Atul Khanna: Thank you, Mr. Soonjoo Seo , and good evening everyone. It is my pleasure to take you through our financial performance for the fourth quarter and the full year of fiscal year '26. The fourth quarter, as guided, proved to be our strongest of the year, delivering the highest ever quarterly revenue from operations. Revenue stoo

d at INR80.54 billion, reflecting year -on-year growth of
8.1% compared to INR74.48 billion in Q4 FY 25.
Growth was broad -based, led by Home Appliances and Air Solution segment, supported by a strong summer season and a successful BE E transition. We continue to maintain market leadership across key categories , driven by our two -track strategy that balances growth across both, premium and mass -premium segments.
Large panel TVs, French door refrigerators and LG Essential appliances all contributed meaningfully to this performance, reinforcing both our brand strength and consumer trust.

EBITDA for the quarter came in at INR9.45 billion, with a margin of 11.7%.
Net profit stood at INR6.93 billion, translating to a PAT margin of 8.5%. Importantly, EBITDA margin improved by 7% sequentially. However, year-on-year margins were impacted by Rupee depreciation and elevated commodity prices. Looking ahead, we remain confident in our ability to improve margins further, with a sharp focus on managing inflationary pressures and input costs.
Now I'm coming to the full year performance. For the full year, LG India reported revenue from operations of INR246.05 billion, reflecting 1.0% growth year -on-year. While the first half was impacted by GST transition timing, a cool er than expected summer and geopolitical headwinds, our second half recovery demonstrated the underlying strength of our business model.
Full year EBITDA stood at INR24.08 billion with an EBITDA margin of 9.8%. Full year net profit stood at INR16.85 billion with a PAT margin of 6.8%. Our B2B business has emerged as a growing contributor to our revenue mix in FY26. We saw strong order inflows from


government infrastructure projects, recovery in corporate and hospitality sector orders, and continued traction in our commercial air conditioning business driven by IT parks, commercial real estate, and institutional buyers.
Our Annual Maintenance Contract business is building into a high margin recurring revenue stream that deepens our relationship with B2C customers beyond the point -of-sale. Together, these streams are gradually shifting our revenue mix towards higher quality and more predictable income.
As of 31st March 2026, our working capital stood at INR22.73 billion. Inventory levels have normalized following the new BEE ratings transition, with healthy channel inventory now heading into financial year '27. Our cash and bank balance remains robust at INR44.76 billion, providing us the financial flexibility to fund our Sri City manufacturing facility investment entirely through our internal accruals.
Free cash flow for FY26 was strong, further reinforcing our ability to support growth initiatives while maintaining balance sheet strength. Capital expenditure for FY26 across our existing facilities amounted to approximately INR5.51 billion, consistent wi th our usual annual investment range of 2 % to 2.5% of total revenue.
For the new plant at Sri City, we have committed a total investment of INR50 billion over the coming years. By FY26, around INR6.57 billion has already been deployed under capital work in progress and capital advances for construction and machinery. Lookin g ahead, we have substantial capex plans for the Sri City plant over the next two years, which will be fully funded through our internal accruals.
Return on equity and return on capital employed for FY26 have moderated , compared to financial year '25. This reflects two factors . Our cash balance has remained deliberately high as we build reserves to fund our Sri City plant through internal accruals, and first half profitability was impacted by the external headwinds as discussed earlier.
This moderation is transitory in nature, as Sri City capital gets deployed and starts generating returns, and as profitability normalize s in FY27, we expect our return ratios to impro

ve
meaningfully. Our business fundamentals remain strong, our balance sheet is healthy, and our long-term strategy is firmly on track.
With that, I would like to hand over to Mr. Aditya Bhasin, Head Investor Relations, who will walk you through our segmental performance and outlook for FY27. Over to you, Mr. Bhasin.
Aditya Bhasin: Thank you, Atulji. Good evening once again. Let me now take you through our segmental business performance for Q4 and full year FY2026.
To start with Home Appliance and Air Solution, the H&A segment growth was driven by broad - based demand recovery and premium -led momentum following the BE E rating transition . Premium categories performed particularly well. Fully automatic washing machines, French


door refrigerators, and 5 -star rated room air conditioners all delivered higher average selling prices, which contributed to a richer product mix. Our dishwashers business also emerged as an important growth driver this quarter, gaining meaningful traction as urban consumers increasingly embrace the convenience it offers.
Segment revenue for Q4 FY26 stood at INR65.16 billion, representing a n year-on-year growth of 5.7% with a sequential growth of 133.7% over Q3, reflecting the strong seasonal demand

uplift. For the full year, segment revenue stood at INR181.60 billion.
EBIT margin for the segment was 11.9% for the quarter. Margins were impacted by rising commodity costs, Rupee depreciation, and strategic channel investments made for new product introductions. These channel investments are being made deliberately to build long -term distribution depth.
Moving on to Home Entertainment segment, it delivered a strong Q4 with the revenue growing 19.6% year -on-year and 15.9% sequentially. Growth was driven by surging demand for large screen televisions, supported by the Cricket World Cup, which provided a mea ningful near -term tailwind.
Our information display business recorded strong growth with healthy order inflows across commercial TV and signage from the government, corporate, and institutional buyers. In the premium television segment, LG maintained absolute leadership with an OLED market share of 60.0% as of YTD March 2026.
Segment revenue for Q4 FY26 stood at INR15.37 billion. For the full year, segment revenue stood at INR64.44 billion. EBIT margin for the segment was 13.4% for the quarter, impacted by Rupee depreciation and increased marketing investments to capitalize on Cricket World Cup demand, a deliberate and time -bound spend, partially offset by strong cost discipline and healthy contribution from our B2B business.
Coming onto the market shares, across all major product categories , washing machines, refrigerators, air conditioners, and television , LG India has continued and strengthened its market leadership.
Our premium segment registered higher growth, reflecting the continued success of our premiumization strategy across categories. We are proud of the consistent trust that Indian consumers and trade partners place in our brand and we remain firmly committed to protect and grow this leadership in every category we operate in.
Talking about the Q1 FY27 outlook by segment, starting with the Home Appliance and Air Solutions, we are now witnessing strong demand momentum in room air conditioners and washing machines, supported by premium refrigerators, including side -by-side and Fre nch door models.


The Essential Series is well -positioned to capture the summer surge with early sell -through data looking encouraging and channel inventory remaining lean. Exports of the Essential Series and premium products to key global markets are expected to add an incremental growth lever.
In System Air Conditioner category, we are launching a new 5 -star model, a critical enabler for government project bidding and institutional business growth. In Home Entertainment segment, new product introductions in larger screen sizes and premium offeri ngs will sustain our market leadership.
Our B2B business is supported by a healthy order pipeline. Under our Make in India initiative in the information display category, upcoming launches including the electronic blackboard and the second generation micro LED magnet with meaningful cost reductions are expected to drive the margin recovery.
Overall, we enter FY27 with strong momentum, encouraging early sell -through data with lean channel inventory heading into the summer season. And we are targeting mid -teen revenue growth in FY27. On the margin side in FY27, we are targeting improved early teen EBITDA margins, better than last year.
Key levers for margin improvement includes continued localization improvement, operating leverage from higher revenue volumes, a richer product and segment mix, and scaling of high margin AMC and B2B revenues. Industry -wide price increases already underway will also support gradual margin n ormalization across the sector.
Having said that, we remain watchful of cost pressures from currency depreciation and geopolitical risks. LG will constantly work on cost optimization, localization, and better operational efficiencies to navigate these headwinds. The market is recovering strongly with heatwave conditions driving compressor -based product uptake and GST cuts continuing to promote premiumization and large screen adoption in televisions.
To summarize, in FY2026 we faced external challenges with discipline and resilience. We delivered our highest ever quarterly revenue in Q4, crossed the historic milestone of 1 million plus room air conditioner sales, strengthened our market leadership across every major category, and laid a strong foundation across manufacturing, exports, and new categories for FY27.
The fundamentals of our business are strong, our strategy is clear, and our organization is energized for what lies ahead. We are deeply grateful for the continued trust and support of our shareholders, our trade partners, and most imp ortantly, the Indian consumers.

With that, we conclude our prepared remarks and request the operator to open the lines for the Q&A session. We look forward to your questions. Thank you.
Moderator: Thank you very much, sir. Ladies and gentlemen. We will now begin the question and answer session. The first question is from the line of Siddhartha Bera from Nomura. Please go ahead.


Siddhartha Bera: Hi, sir. Thanks for the opportunity. Sir, my first question is, while we have seen revenues growing at 8% Y -o-Y in the quarter, we have not seen any operating leverage play out, which has led to decline in EBITDA margins on a Y-o-Y basis. Can you please explain what is the reason for this and how should we think about the coming year?
Aditya Bhasin: Thank you, Siddhartha for the question. This question will be addressed by our Chief Accounting Officer, Mr. Atul Khanna, after the Korean translation. Please hold on.
Atul Khanna: Thank you for this question. And this is a very valid observation. Despite a challenging global environment, our sales gr ew by 8.1% in quarter 4 '26, which provided some operating leverage benefit. However, the margin declined by approximately 250 b ps, which was driven b y a combination of few factors.
To start with, raw material cost s remained broadly at similar levels but impacted marginally due to the pressure of commodity prices. However, the rupee depreciated almost by 5.6% year -on-year in this quarter, creating a meaningful headwind on our import cost. The single largest contributor was our channel promotion investments, which impacted margins by approximately 1.1%. These were temporary strategic investments made to separate our

channel partners, drive
sell-out, and strengthen our market position during this quarter, and build confidence among our channel partners.
Currency depreciation was other significant factor impacting the mar gins again by approximately 1%.
Electronic waste cost, which is a compliance cost, added a further impact of approximately 0.2% as our recycling targets increased from 60 % to 70% as per government regulations. Looking ahead , with the price hikes now in place across categories, promotional intensity rationalizing, hot summer going on, we are confident of recovering our margins for financial year '27 and to deliver our early double digit EBITDA margins for '27 full year. Thank you.
Siddhartha Bera: Thanks for this, sir. My second question is on the outlook side. Can you clarify what is LG doing differently compared to peers , which will help it grow ahead of the industry ? And how will margin s improve from the current levels as c onditions normalize going ahead?
Aditya Bhasin: So, this question will be addressed by our respected CFO, Mr. Dongmyung Seo , after the Korean translation.
Dongmyung Seo: Thank you for your question. As mentioned earlier, our confidence in outperforming industry growth does not rely on a single factor. It comes from our clear differentiation and multiple growth drivers. On the revenue side, exports are scaling up meaningful ly. We are entering neighbo uring countries and key global markets through our essential series and premium product lines, achieving steady growth beyond the domestic B2C business.
The B2B segment is recovering strongly with ID recently achieving its highest ever quarterly sales. Meanwhile, the non-hardware AMC business which generates high margin recurring


revenue is expected t o drive additional growth in FY2026 and serve as a stable growth engine. New product categories are delivering strong contribution to our revenue.
Under our two -track strategy, premium French door refrigerators are gaining solid traction while dishwashers have already doubled revenue this year. At the same time, we also launched the new Essential Series , allowing us to reach new consumer segments and untapped geographies. Looking ahead, our entry into the segment of chest freezers will serve as an additional growth driver, further expanding LG's portfolio and strengthening revenue streams. From a margin improvement perspective, we see three clear opportunities.
First, we have positioned exports as our core growth engine. This provides the most opportunity to improve profitability and enhance overall margin performance. Second, localization, which currently stands at 55.2 % and continues to grow is central to our Make in India strategy.
By deepening local manufacturing, we're reducing import dependency, lowering currency exposure and strengthening our cost structure. Third, higher margin businesses such as AMC and B2B are expected to account for a larger share of our revenue comp ared to our core B2C business.

If the geopolitical situation in the Middle East stabilizes, lower oil prices and improved raw material costs are expected to f ollow. This in turn could drive capital inflows into India and support a recovery in consumer demand. In the consumer demand sector, we anticipate both, revenue growth driven by stronger demand and significant margin improvement supported by cost optimization. To capture these opportunities, we will pursue a premium and mass premium portfolio strategy to enhance both growth and profitability.

Siddhartha Bera: Understood.

Moderator: Thank you. The next question is from the line of Sonali from Jefferies . Please go ahead.

Sonali: Thank you for the opportunity a nd I must say, it's good to see a double -digit EBITDA margin, especially in the current uncer tain macros and the cost headwind . So , congratulations to the team for that. I

have three questions. The first on the current industry scenario, you did mention that the demand is very strong ?

So can you please help us understand the channel inventory right now versus say a comparison at the start of the year? My second question is regarding the price hikes across all product segments. So we know broadly that for aircons it is 12 % to 13 %, but across th e rest , washers and TVs as well a nd do you think they are enough to sustain the margins or improve them going forward or should we take further hikes ? And the third is regarding capex , the capex outlook for F27 and also the update on the timelines of the new plant commissioning? Thank you.

Aditya Bhasin : Than k you Sonali for the question. The first part of the question is related to the inventory which will be handed over to Mr. Gur pinder Singh. He will give you the answer for that. For the second



question is about the price hike which will be taken care by Mr. Sanjay Chitkara who is our Co-CSMO. And third one is the capex which Mr. Atul Khanna, our Chief Accounting Officer will respond to after the current translation. Please hold on.

Gurpinder Singh: Thank you for this question. This is regarding the channel inventory of AC. So basically I would like to share that Q4 is a big pe riod for AC business for us. 55 % of our annual business comes from Q4. And during this period , as per our strategy , we filled the channel with AC inventory to ensure sufficient stock availability during the summer . I would like to share with you that we have sold more than 1 million AC s in Q4 FY26. Regarding channel inventory , the AC industry entered Q1 FY'27 with the same inventory level s as last year. Yes there was a little stress due to the spell of low temperature during March, which temporarily slo wed down the normal sell -out cycle.

As a result, dealers approached the season with cautiousness , given the elevated inventory and slower start to sales. In LG ’s case, on the contrary, our inventory levels were aligned with our planning and remain manageable and we were closely monitoring the pace of sell -out. Dealer sentiment was steady, but like the rest of the industry, partners were watchful of how quickly demand picks up with the wea ther.

Importantly, the current sell -out trend is strong ly supported by high temperature s across regions , helping us drive demand and ease channel pressure. We have also supported our partner s with timely product availability including the launch of new BE E rated compliant models which has kept their engagement active. Thank you.

Sanjay Chitkara: I am Sanjay Chitkara, I am Co -Chief Sales and Marketing Officer at LG India . I will answer about the price increase. So you know we always approach our pricing increase very thoughtfully with balanced decisions , always guided by three key factors. First is our brand's position, second is our market competitiveness, and third and foremost is our profitability.

So we do not take any pricing action in isolation and we take a very balanced approach for our consumer, trade partners, and our business. So for AC s, we took a calibrated price adjustment in two phases. In the first phase , it was clearly driven by a structural change of new BEE star rating s announcement and that was required to make a meaningful upgrade to the product specification helping deliver more energy efficient standard s to our consumers.

The second adjustment was taken to protect our margin due to increased input cost and exchange rate movements. And once we took this decision, we were the first one to take this bold decision and others also followed us. And this is why our competitive price positioning has not changed in the market.

We are also simultaneously working on multiple internal levers depending upon deepening our component localization, trying to reduce our depende

ncy on currency fluctuation, and continuous cost optimization across our operations, and actively improving our model mix so that our premium market share go es up and hig her star rating products sell more and profitability can be improved.

Together these levers are giving us a sustainable and balanced path to improving our profitability than deeply depend ing upon price adjustment alone. Furthermore, we should not forget that GST cut on RAC s has significantly benefited consumer s, which has offset the impact of the se price adjustment s and keeping our product s accessible and affordable.
For refrigerator and washing machine s, we have also taken similar price adjustment s. Consumer and channel response have been encouraging and there is no impact on our sales and sales targeted sales growth. As far as further price increase actions are concerned, we do not have any immediate plan at this stage, but we are very cautiou s and monitoring the situation. However, we will continue to closely monitor the raw material prices, currency movement s, and market condition s, and take a calibrated decision as and when required. Thank you very much.
Atul Khanna: This is Atul Khanna and now I will answer your third question on Sri City plant timeline as well as the investment plan. I am pleased to confirm that our Sri City plant construction is fully on track as per our plan and we remain committed to our INR 5,000 crore investment roadmap, deployed in a phased manner over the next few years, funded entir ely from our internal accruals.
Coming to the specific timelines, our a ircon compressor production line is scheduled to commence operations in the last quarter of calendar year 2026, which is third quarter of FY27 as com municated earlier, followed by a ircon production line operational in first quarter of 2027 which would be quarter four of FY27.
Washing machine and refrigerator line s will be added thereafter in a phased manner. Our next two years investment is majorly planned to cover our total INR 5,000 crore s of investment. And currently , till March 2026 , we have invested INR6 57 crore s already.
From a people perspective, we have already initiated hiring for key staff and other critical functions. This reflects our confidence in construction timelines and underscores our commitment to ensuring full operational readiness when the plant goes live. By building capabilities ahead of schedule, we are de -risking execution and strengthening our talent pipeline, a proactive step that supports seamless ra mp-up once operations commence.
This facility represents a strategic ass ay for both our domestic operations and expanding export ambitions. It will expand production capacity, enhance logistics efficiency, particularly for our South India business , which contributes 38 % to 40% of our total business, and also reinforce our localization roadmap. We see this as a key driver of sustainable growth and long -term shareholder value creation. Thank you.
Sonali: Thank you team and all the best.
Moderator: Thank you. The next question is from the line of Vishal Go el from HSBC Securities and Capital Markets. Please go ahead.
Vishal Goel: Yes, thanks for the opportunity. I have two questions. First one is on exports. So your initial comments were very encouraging. But given that current global environment, do


you still maintain your earlier export guidance of doubling the exports compared to last year? And my s econd question is on Essential Series. So just want to check what is the response you are getting on the Essential series so far from the market and what are the products in this entry level line you are which is scheduled for launch? So these are my two questions. Thank you.
Aditya Bhasin: So the first part of the question will be a

ddressed by Mr. Atul Khanna, who’s our Chief
Accounting Officer and the second part is about the Essential Series progress will be addressed by Mr. Sanjay Chitkara , our Co -CSMO , after the Korean translation.
Atul Khanna: So, thank you for your first question. Let me address that about exports. Our export business is consistently delivering better margins and we are expanding our exports going forward for FY27. As you rightly mentioned, under our ’global south strategy ’, we are expanding our export base with a greater share of premium products. And as part of this plan we will be exporting high value offerings such as side -by-side refrigerator s and Top Freezers (790 liter plus ) and front -load washing machines that are all manufactured in India for developed markets , while also supplying LG Essential Series to other developing countries .
This approach ensures a well -diversified export portfolio across geographies and price points strengthening both growth and margins. So, our clear guidance is to expand our exports very significantly considering the Middle East situation so far. As a part of LG ’s global growth, we benefit from our order allocations from headquarters giving us a clear demand visibility, a key

advantage over peers in terms of currency fluctuation. Our export receivables naturally hedge import payable creating a built -in currency buf fer as export scales.
Further, this natural hedge will continue to strengthen our profitability with our diversified portfolio across developed and emerging market reduc ing geographical risk. Through our Pune plant we have already built on our premium product capacity which will support exports of the premium side -by-side refrigerator s, Top Freezer s and Front loading w ashing machine s. We are also building our capability and capacity through our Sri City plant in FY27 to boost the capacity to double , to further support our future export plans and increase our asset return and margins FY27 onwards.
Sanjay Chitkara: Thank you. I will answer on the Essential Series . Essential Series is a product lineup that we introduced on 14th of October last year. Prior to launch ing this range , we actually visited 1200 Indian households across India's tier 2 and tier 3 towns . The Essentia l Series was designed to meet every day needs with a strong emphasis on durability, functionality and the same LG aesthetic appeal. It reflects LG's commitments to delivering affordable premium offerings across both home appliances and electronics.
Regarding the response of this product . this range was in itially offer ed with only limited SKUs , but yet, the response has been very encouraging. For the washing machine alone, we have sold 1 lakh units. In Q4 FY'26 and the similar period we sold roughly 80,000 Essential Series refrigerators . On the RAC front , we introduced a lower than 1 ton capacity unit which was 0.8


ton and the sale was roughly 20,000 units. In the near future , we will further expand this series in various capacities, various variants , color and designs.
We will also expand the Essential Series in televisions as well . Currently we are commencing export s as my colleague Mr. Atul Khanna also explained earlier. We are expanding the export of Essential Series to 22 countries. Thank you very much.
Vishal Goyal: Thank you for a detailed response. Thanks team.
Moderator: Thank you. The next question is from the line of Sanjeev Kumar Singh from Motilal Oswal Financial Services. Please go ahead.
Sanjeev Singh: Thank you for the opportunity, Sir. First question is in terms of demand. So, you mentioned in your opening remark that there has been a significant improvement in demand in April and May 26. Can you throw some light on how has been the industry growth rate as well as our growth rate in these two months ? You also discussed about the price hi

kes in different categories. Are these hikes sufficient to offset cost increases which have been seen till now or you need to take some more price hikes?
Management: Both these questions will be addressed by Co -CSMO Mr. Sanjay Chitkara after the Korean translation.
Sanjay Chitkara: Thank you for the question. Let me address this category wise . First, let me talk about air conditioners . We had a very strong last quarter and demand picked very well for ACs. India is a very diverse tropical weather country , where we have high ambient temperature , long summer s and therefore the AC has become a necessity now. Notably , the penetration of AC s is also very low. Currently , it is touching only 13% , so good demand is assured for mid and long term.
This year we prepared well for our AC products and we launched early new BEE star-rated air conditioners in the market and hit the 1-million -unit mark in quarter four , which is historically the highest AC sales for LG Electronics , a proud moment for us all, with the current summer trends and GST cuts.
ACs are very well supported by the summer demand, and we will surely deliver good growth over last year . Refrigerator demand is also steady and moving as per expectation s. Customers are choosing larger and more energy -efficient model s, which is a very positive signal for us . Our French door refrigerators are also doing extremely well. We launched these products in the month of November, and our market share jumped from 5% to 14% by March 2026 and we will become number one player for French door refrigerator very soon .
Regarding washing machine category, it is also on track. Essential range is doing very well for first time buyers , and it has been received very well received in the market. We sold , as I mentioned earlier also, we sold nearly 1 lakh units in Q4 alone. Especially in the smaller towns and cities.


Regarding television s, the demand is steady and customers are clearly moving towards bigger screens that are 55 inch and above. We grew 47% in the 55-inch segment. And now this segment has become 49% of our business. We achieved 20% plus growth in televisions in Q4, which is very encouraging.

What gives us further confidence is that India is still a very under -penetrated country for home appliances , as compared to other developed nations. So, the long -term growth opportunity is very large. The recent GST reductions have also made our products more affordable for the customer.

Putting it all together, we are very confident of delivering strong double digit, mid -teen digit growth across all four categories for FY'27. Regarding the price increase , I have just answered the price increase question and we are clearly vigilant and observing the currency movement. As of now, it is too early and too premature to announce any future price increase. Currently we are focusing on cost optimization, operational efficiency and our localization rate to mitigate the currency fluctuation impact. Thank you very much.

Sanjeev Singh: My second question is in terms of new product categories. So, you had given a press release in the first week of May mentioning new product categories like chest freezers, fixed -speed room ACs and large size refrigerators. So, can you throw some more insight on this , whether these are meant for domestic market, exports, and what are the market opportunities? Thank you.

Aditya Bhasin: So, this question will also, be addressed by our Co -CSMO Mr. Sanjay Chitkara after the Korean translation.

Sanjay Chitkara: Thank you very much for this question. So, you know we are very excited about our new categories which we have recently introduced or planning to introduce. First, I would like to talk about our French door refrigerators. So, we entered this category in the month of December 2025 and we have moved very quickly to

capture this opportunity.

As I mentioned just now , our market share is growing very significantly in this segment – from 5% to 14% is what our market share jumped to in Q4 and we aim to become the number one player in this category . These refrigerators are becoming very popular in India because they are designed for Indian kitchen needs, with layouts that are very suitable for Indian consumers.

On chest freezer, this is entirely a new category for LG India. And we are launching a strong range for five models in the upcoming quarter at very competitive price s. Currently the chest freezer market sizes is roughly around INR3000 crore s. And it will create new business revenue for us in the near term . Similarly, w e were not present in the fixed -speed AC segment earlier either . This year we introduced this missing segment in our portfolio as well .



And we have now addressed it with more energy efficient models, reinforcing our technology leadership even in the value segment. We also introduced a sub -1-ton capacity air conditioner model this year in the Essential Series category .

Coming to the last and my favourite category - dishwasher s. This too has been a very strong success story for us. Sales have been growing significantly year -on-year and we have moved up to become the number two player in this category. And our ambition is very clear – we want to become the number one player in this segment . Our new higher capacity model like the 14 plate and true steam wash models are emerging as key driver s in the segment.

Recently we have also started production of our double door refrigerator of 674 litre and 790 litre side-by-side refrigerator in our Pune plant , a size that no one else is currently producing in India . It strengthens our Make -in-India commitment . We are also excited about the LG Essential Series , with its multiple new SKU lineup across categories and we are confident that with the help of all new segments , we will register a mid -teen growth . Thank you very much.

Sanjeev Singh: Thank you for your detailed response, sir.

Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference over to Mr. Aditya Bhasin for closing comments. Thank you and over to you, sir.

Aditya Bhasin: Thank you all of you for attending our LG Q4 FY26 and full year FY26 earnings call. With this, we conclude today's discussion. Should you have any pending questions or require further clarification, please don't hesitate to call me directly. Thank you and have a nice day.

Moderator: Thank you, members of the management. On behalf of LG Electronics India Limited, this concludes our conference. We thank you for joining us and you may now disconnect your lines.

Thank you.